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Income-tax Act, 2025

Chapter -IV Part D

Profits and gains of business or profession

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Section-26 of Income Tax Act, 2025

Income under head “Profits and gains of business or profession”



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Section 26 – Income under head “Profits and gains of business or profession”

“(1) The incomes referred to in sub-section (2) shall be chargeable to income-tax under the head “Profits and gains of business or profession”.

(2) The income under sub-section (1) shall include—

(a) the profits and gains of any business or profession carried on by the assessee at any time during the tax year;

(b) any compensation or other payment, due to, or received, by any person by whatever name called,—

(i) wholly or substantially managing the affairs—

(A) of an Indian company; or

(B) in India, of any other company; or

(ii) holding any agency in India for any part of business activities of any other person; or

(iii) for any contract relating to business,

in connection with termination of management, office, agency or contract, as the case may be, or modification of terms and conditions relating thereto;

(c) any compensation or payment, due to, or received by, any person for vesting of the management of any property or business, in the Government including any corporation owned or controlled by the Government under any law in force;



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Section 26 – Income under head “Profits and gains of business or profession”

(d) income derived by a trade, professional or similar association from specific services performed for its members;

*(e) profits on sale of import license, cash assistance against export, duty drawback or duty remission or **any other export incentive**, received or receivable; (Refer Note 1)*

*(f) the value of any **benefit or perquisite** arising from business or the exercise of a profession, whether—*

(i) convertible into money or not; or

(ii) in cash or in kind or partly in cash and partly in kind;

(g) any interest, salary, bonus, commission or remuneration, by whatever name called, which is due to, or received by, a partner of a firm from such firm to the extent allowed under section 35(e) as a deduction in computing the income of the firm;”



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Section 26 – Income under head “Profits and gains of business or profession”

(h) any sum, received or receivable, in cash or in kind—

*(i) under an agreement for not carrying out any activity in relation to any business or profession, **not being**—*

*(A) any sum received on account of transfer of the right to manufacture, produce or process any article or thing or right to carry on any business or profession which is chargeable under the head “**Capital gains**”;*

(B) any sum received as compensation from the multilateral fund of the Montreal Protocol on Substances that Deplete the Ozone layer under the United Nations Environment Programme, as per the terms of agreement entered into with the Government of India; or

(ii) under an agreement for not sharing any know-how, patent, copyright, trade-mark, licence, franchise or any other business or commercial right of similar nature, or information or technique likely to assist in the manufacture or processing of goods or provision for services;

(i) any sum received under a Keyman insurance policy including the sum allocated by way of bonus on such policy;

(j) the fair market value of inventory as on the date on which it is converted into, or treated as, a capital asset determined in the manner, as may be prescribed; and

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Section 26 – Income under head “Profits and gains of business or profession”

(k) any sum which is received or receivable in cash or kind, when—

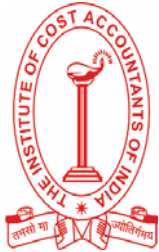
(i) a capital asset other than land or goodwill or financial instrument, is demolished, destroyed, discarded or transferred; and

(ii) the whole of the expenditure on it has been allowed as a deduction under section 35AD of the Income-tax Act, 1961 (43 of 1961) or section 46 of this Act.

(3) Where speculative transactions carried on by an assessee are of such nature to constitute a business, the business (herein referred to as speculation business) shall be deemed to be distinct and separate from any other business.

*(4) Any income from **letting out of a residential house** or a part of it by the **owner** shall **not be included** in income under sub-section (1) and shall be chargeable **only** under the head “**Income from house property**”.*

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Section 26 – Income under head “Profits and gains of business or profession”

Note 1: The introduction of the words “duty remission and **any other export incentive**” may expand the scope of taxability of export incentives by specifically including “any other export incentive.” This broad phrasing has the potential to widen the ambit of taxable receipts and may give rise to interpretational issues.

Accordingly, these terms require careful and considered interpretation to ensure clarity and to mitigate the risk of future litigation that may arise due to their **expansive nature**.

Analysis: Rest, there is no substantive change in the provisions relating to income chargeable to tax under profit and gains from business and profession; however, the language has been simplified under the New Act, 2025.



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Section-27 of Income Tax Act, 2025

*Manner of computing profits and gains of business
or profession*



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Comparative Analysis of Section 27 of ITA'25 vs Section 29 of ITA'61

Section-27 of ITA'25

The income referred to in section 26 shall be computed as per the provisions of sections 28 to 60, except section 58.

Section-29 of ITA'61

The income referred to in section 28 shall be computed in accordance with the provisions contained in sections 30 to 43D.

Analysis: This provision means that income chargeable under Section 26 (i.e., business or professional income) is generally required to be computed in accordance with the detailed provisions laid down in Sections 28 to 60, which cover various rules for determining taxable profits such as admissibility of expenses, depreciation, and other adjustments. However, an exception has been carved out for Section 58, implying that where an assessee opts for the presumptive taxation scheme, the normal computation mechanism does not apply.

Strategic Approach: Eligible assessee may opt for presumptive taxation under Section 58 of the Income-tax Act, 2025 after **evaluating its comparative tax advantage vis-à-vis normal provisions** of section 28 to 60 of the Income Tax Act, 2025, particularly where profit margins are equal to or higher than the prescribed presumptive rates.

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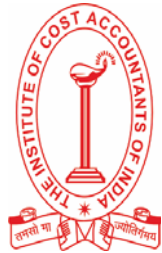
Section-28 of Income Tax Act, 2025

Rent, rates, taxes, repairs and insurance



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Section 28 – Rent, rates, taxes, repairs and insurance

*“(1) The following amounts shall be **allowed as deduction** in respect of **premises, machinery, plant or furniture** used for the purposes of the business or profession:—*

- (a) any **premium** paid in respect of **insurance** against risk of damage or destruction thereof;*
- (b) **land revenue, local rates or municipal taxes** paid;*
- (c) **rent paid**, when the premises are occupied by the assessee as a tenant;*
- (d) amount paid on account of **current repairs** to the premises, not being in the nature of capital expenditure, when the premises are occupied by the assessee otherwise than as a tenant;*
- (e) amount paid on account of **cost of repairs**, not being in the nature of capital expenditure, when the premises are occupied by the assessee as a tenant and where he has undertaken to bear the cost of repairs to the premises; and*
- (f) the amount paid on account of **current repairs** to machinery, plant or furniture, not being in the nature of capital expenditure.”*

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Section 28 – Rent, rates, taxes, repairs and insurance

*(2) In case where the premises, building, machinery, plant or furniture is partly used or **not wholly and exclusively** used for the purposes of the business or profession, the **deduction allowable** under **sub-section (1)** shall be **restricted** to the **fair proportionate** part thereof as determined by the **Assessing Officer**, having regard to the usage for the purposes of the business or profession.*

Analysis: The provisions relating to deductions for premises, machinery, plant, and furniture, which were earlier contained in Sections 30, 31, and 38 of the Income-tax Act, 1961, have now been consolidated under Section 28 of the Income-tax Act, 2025.

Note: This consolidation is not merely structural but also brings certain substantive changes in scope and interpretation. Under the earlier law, rent and rates relating to machinery, plant, and furniture were not specifically allowable under Section 31 and were generally examined under residuary provisions of section 37 of ITA'61. **However, Section 28 of the ITA'25** now expressly **allows deduction for rent and taxes** even in respect of machinery, plant, and furniture, thereby providing greater clarity and expanding the scope of allowable deductions.

Further, while Section 38 of the ITA'61 provided for restriction on fair proportionate by AO where such assets were **not exclusively** used for business purposes, such **restriction did not cover rent (as a tenant) and tax expenses** like land revenue or municipal taxes. The new provision under Section 28 addresses this gap by applying proportionate restriction uniformly to all such expenses, **including taxes**.

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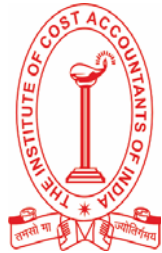
Section-29 of Income Tax Act, 2025

Deductions related to employee welfare



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Section 29 – Deductions related to employee welfare

- (1) *The following sums, in the case of an assessee being an employer, shall be allowed as deduction in computing income chargeable under section 26:—*
- (a) Any sum paid as **contribution to Recognized Provident Fund or any approved Superannuation Fund** subject to limitation prescribed and conditions as the board may specify for cases with contribution amount are not fixed.
 - (b) Any sum paid as **contribution to Pension scheme** for an employee upto 14% of the its salary, where salary includes DA (in terms of employment) and excludes other allowance and perquisite.
 - (c) Any sum paid as **contribution to an approved gratuity fund** created by the assessee for the exclusive benefit of his employees under an irrevocable trust.
 - (d) Any provision made for contribution towards **approved gratuity fund** or for the purpose of payment of any gratuity that has **become payable** during the **tax year**.
 - (e) *“the amount of contribution received from an employee to which the provisions of section 2(49)(o) apply, if it is credited by the assessee to the account of the employee in the relevant fund or funds, on or before the **due date of filing of return of income** under section 263(1) for the tax year.” (Refer Note 1)*

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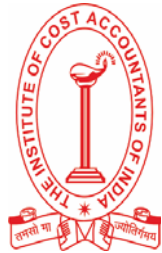
Section 29 – Deductions related to employee welfare

Note 1: Finance Act, 2026 has amended the provision of Section 29(1)(e) of the Income Tax Act, 2025 and following provision has been added:

(1) *“The amount of contribution received from an employee to which the provisions of section 2(49)(o) apply, if it is credited by the assessee to the account of the employee in the relevant fund or funds, on or before **the due date of filing of return of income** under section 263(1) for the tax year.*

Impact: Pursuant to the **amendment introduced by the Finance Act, 2026**, deduction in respect of employees’ contribution to specified funds shall be allowed if such contribution is deposited on or before the due date of filing the return of income under section 263(1).

Earlier, such deduction was permissible only if the employees’ contribution was deposited **within the due date prescribed under the relevant fund laws** (such as PF/ESI). The amendment, therefore, provides relaxation by **extending the timeline** up to the **due date of filing the return of income**.



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Section 29 – Deductions related to employee welfare

*(2) (a) Subject to the provisions of sub-section (1)(d), **no deduction** shall be allowed for any provision made for the payment of gratuity to the employees on their **retirement** or **termination for any reason**; and*

*(b) in case deduction has been allowed for any provision made under sub-section (1)(d), then **no deduction** shall be allowed on **actual payment** made from such provision.*

(3) No deduction shall be allowed in respect of any sum paid by the assessee as an employer towards setting up or formation of, or as contribution to, any fund, trust, company, association of persons, body of individuals, society registered under the Societies Registration Act, 1860 (21 of 1860), or other institution for any purpose, except where such sum is so paid, for the purposes and to the extent provided by or under sub-section (1)(a) or (b) or (c), or as required by or under any other law in force.

Analysis: There is no substantive change in the provisions relating to payment of gratuity to employees; however, the language has been simplified under the New Act, 2025.

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Section-30 of Income Tax Act, 2025

Deduction on certain premium.



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Section 30 – Deduction on certain premium

“The following sums shall be allowed as deduction in computing income chargeable under section 26, being premium paid:—

(a) by any assessee in respect of insurance against risk of damage or destruction of stocks or stores used for the purposes of business or profession;

(b) by a federal milk co-operative society to effect or to keep in force an insurance on the life of the cattle owned by a member of a co-operative society, being a primary society engaged in supplying milk raised by its members to such federal milk co-operative society;

(c) by the assessee as an employer, through any mode of payment other than cash, to effect or to keep in force an insurance on the health of its employees under a scheme framed in this behalf by—

(i) the General Insurance Corporation of India formed under section 9 of the General Insurance Business (Nationalisation) Act, 1972 (57 of 1972) and approved by the Central Government; or

(ii) any other insurer and approved by the Insurance Regulatory and Development Authority established under section 3(1) of the Insurance Regulatory and Development Authority Act, 1999 (41 of 1999).”

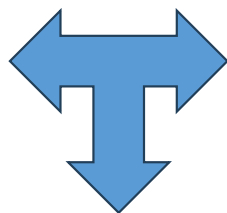
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Section 30 – Deduction on certain premium

*The following sums shall be **allowed as deduction** in computing income chargeable under section 26, being **premium paid**, Subject to other condition satisfied:*

Stock/spares Insurance



Cattle Insurance
(By Federal Milk Co-operative society)

Employee's Health Insurance
(Paid by Employer – other than cash)

Analysis: There is no substantial change in the Section 30 of the Income Tax Act, 2025. This provision is in line with the provision given in section 36(1)(i) of the Income Tax Act, 1961.

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Section-31 of Income Tax Act, 2025

Deduction for bad debt and provision for bad and doubtful debt.



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Section 31 – Deduction for bad debt and provision for bad and doubtful debt

(1) The amount mentioned in column C of the Table below, in respect of any provision for bad and doubtful debts made by the assessee specified in column B thereof, shall be allowed as a deduction in computation of income chargeable under section 26.

Sl. No.	Specified Assessee	Amount of deduction
A	B	C
1.	(a) A scheduled bank, other than a bank incorporated by or under the laws of a country outside India; or (b) a non-scheduled bank; or (c) a co-operative bank, other than— (i) a primary agricultural credit society; or (ii) a primary co-operative agricultural and rural development bank	(a) not more than 8.5% of the total income of the tax year computed before making any deduction under this clause and Chapter VIII, and an additional amount up to 10% of the aggregate average advances made by rural branches computed in the manner as may be prescribed; (b) for an assessee mentioned in clauses (a) and (b) of column B, at its option, an additional amount in excess of clause (a) of this column but not more than the income from redemption of securities as per a scheme framed by the Central Government, when such income has been disclosed in the return of income under the head “Profits and gains of business or profession”.
2.	(a) A bank incorporated by or under the laws of a country outside India; or (b) a public financial institution or a State Financial Corporation or a State Industrial Investment Corporation; or (c) a non-banking financial company.	Not more than 5% of the total income of a tax year computed before making any deduction under this clause and Chapter VIII.

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Section 31 – Deduction for bad debt and provision for bad and doubtful debt

(2) Any amount of bad debt, or part of it, in the tax year in which such amount is written off as irrecoverable in the accounts of the assessee, shall be allowed as deduction in computation of income chargeable under section 26, subject to the following conditions:—

(a) it has been taken into account in computing the income of the assessee of the tax year in which it is written off, or any earlier tax year, or represents the money lent in the ordinary course of the business of banking or money lending which is carried on by the assessee;

(b) if the amount ultimately recovered on any such debt or part of debt is less than the difference between the debt or part and the amount so deducted, the deficiency shall be deductible in the tax year in which the ultimate recovery is made; and

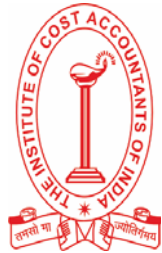
(c) where it relates to an assessee to which sub-section (1) applies,—

(i) only that amount which exceeds the credit balance in the provision for bad and doubtful debts account made under that sub-section shall be allowed as deduction;

(ii) such amount shall be allowed only when the assessee has debited any amount of bad debt or part thereof in that tax year to the provision for bad and doubtful debts account made under that sub-section; and

(iii) the aforesaid account shall be only one such account under sub-section (1) and such account shall be related to all types of advances, including advances made by rural branches.

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Section 31 – Deduction for bad debt and provision for bad and doubtful debt

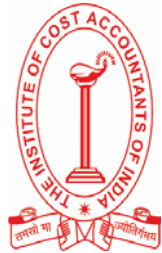
(3) For the purposes of sub-section (2),—

(a) any bad debt or part of it written off as irrecoverable shall not include any provision for bad and doubtful debt;

*(b) any amount of bad debt or part of it, which has been taken into account in computing the income of the assessee of the tax year in which the amount of bad debt or part of it becomes irrecoverable or of an earlier tax year as per **income computation and disclosure standards notified under section 276(2)** without recording it in the accounts, shall be allowed as a deduction in computing the income of the assessee of the tax year in which it becomes irrecoverable and such bad debt or part of it shall be deemed to be written off as irrecoverable in the accounts for the purposes of sub-section (2).*

Analysis: There is no substantive change in the provisions relating to deduction for bad debt and provision for bad and doubtful debt however, the language has been simplified under the New Act, 2025.

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Section-32 of Income Tax Act, 2025

Other Deductions



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Section 32 – Other Deductions

The Analysis of Section 32 is provided as below:

Employee bonus/commission: Allowed as deduction only if it is for services rendered and not have been payable for profit/dividend distribution.

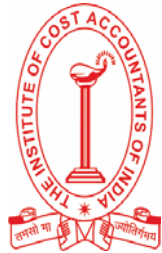
Interest on borrowed capital: Deductible if used for business/profession, excluding interest for the any period from the date capital is borrowed up to the date the asset is first put to use (for capital asset acquisition). Recurring subscriptions or subscribers in mutual benefit societies are treated as borrowed capital subject to fulfilling of condition prescribed.

Contribution to credit guarantee fund: Deduction allowed for contributions made by specified financial institutions to notified credit guarantee funds for small industries.

Discount on zero coupon bond: Allowed on a pro-rata basis over the life of the bond calculated in manner as prescribed.

Special reserve (specified entities) : Deduction allowed for amounts transferred to a special reserve, subject to: Maximum 20% of eligible business profits, and Total reserve not exceeding twice the paid-up capital plus general reserves, no deduction shall be allowed on such excess amount.

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Section 32 – Other Deductions

(f) Expenditure (not being capital expenditure) by statutory corporations: Allowed if incurred by a notified corporation/body established under law, and expenditure incurred for objects and purpose authorised by the Act under which it is constituted.

(g) Expenditure by sugar co-operative societies: Deduction allowed for purchase of sugarcane at a price equal or less than price fixed or approved by government.

(h) Mark-to-market / expected losses: Allowed if computed in accordance with Income Computation and Disclosure Standards (ICDS).

“(i) any expenditure bona fide incurred by a company for the purpose of promoting family planning amongst its employees, subject to the following conditions:—

(A) if such expenditure or any part of it is of capital nature, one-fifth of it shall be deducted for the tax year in which it was incurred and the balance shall be deducted in equal instalments for each of the four immediately succeeding tax years;

(B) the provisions of sections 33(11) and 112(3) shall apply to deduction under this clause as they apply in relation to deductions allowable in respect of depreciation;

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Section 32 – Other Deductions

(C) the provisions of sections 38(1)(c), 39(4) (Table: Sl. No. 9), 45(6) and (10), shall apply to an asset representing capital expenditure for promoting family planning, to the extent they apply to an asset representing capital expenditure on scientific research;“

(j) Loss on animals (capital assets): Deduction allowed for loss on death or permanent uselessness of animals, being the difference between actual cost and scrap value (carcasses of animals).

(k) STT/CTT payments: Deduction allowed for securities/commodities transaction tax if transactions are in the course of business, and income from such taxable securities/ commodities transaction is taxable under business income.

Note: There is no substantial change in the deductions specified under Section 32 of the Income Tax Act, 2025 as compared to the corresponding provisions of Section 36 of the Income Tax Act, 1961. The language has been simplified and presented in a more clear and user-friendly manner for ease of understanding.

It is proposed that separate accounting requirement based on ICDS will be done away with from the tax year 2027-28, since the requirement of ICDS will be incorporating in IND AS.

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Section-33 of Income Tax Act, 2025

Deduction for depreciation



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Section 33 – Deduction for depreciation

Analysis of Section 33 is given below:

The section provides for depreciation deduction on assets used for business or profession as follows: Depreciation is allowed on tangible assets (buildings, machinery, plant, furniture) and specified intangible assets acquired (like patents, trademarks, licences, etc., **excluding goodwill**) on or after 01.04.1998, provided they are owned (wholly or partly) and used wholly and exclusively for business purposes.

For undertakings engaged in power generation or distribution, depreciation is allowed as a prescribed percentage of the actual cost of assets.

In other cases, depreciation is calculated on the written down value (WDV) of a block of assets at prescribed rates.

If an asset is not wholly or exclusively used for business or profession, the deduction may be restricted to a fair proportionate part therefore which is determined by AO having regard to building, machinery, Plant & furniture.

Further, no depreciation is allowed if the actual cost has already been claimed as deduction under section 54. If an asset is acquired during the year and put to use for less than 180 days, depreciation is restricted to 50% of the normal allowable amount.

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Section 33 – Deduction for depreciation

In cases of succession, amalgamation, or demerger, the total depreciation allowed to amalgamating or amalgamated, demerged or resulting, predecessor or successor (as the case may be) shall not exceed the normal allowable depreciation. The deduction is apportioned on a pro-rata basis depending on the number of days as asset were used be the following:

- “(a) predecessor and successor, in case of such succession; or*
- (b) amalgamating company and the amalgamated company in case of an amalgamation; or*
- (c) demerged company and the resulting company in case of a demerger”*

If the assessee incurs capital expenditure on a leased building (e.g., renovation, extension, improvement, construction of any structure), such structure or work is treated as a building owned by the assessee, and depreciation is allowed accordingly.

Depreciation provisions apply irrespective of whether the assessee claims it or not while computing total income.

(8) In addition to deduction under sub-section (3), additional deduction in respect of depreciation for any new machinery or plant shall be allowed, when— (Refer Note 1)

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Section 33 – Deduction for depreciation

*“(a) the assessee is engaged in the business of **manufacture** or **production** of any article or thing or in the business of **generation**, transmission or distribution of **power**;*

(b) the assessee acquires and installs the new machinery or plant;

*(c) the new machinery or plant is **first put to use** by the assessee for the purposes of business; and*

(d) the new machinery or plant (not being a ship or an aircraft)—

(i) was not used either within or outside India by any other person before its installation by the assessee;

(ii) is not installed in any office premises or any residential accommodation, including accommodation in the nature of a guest house;

(iii) is not in the nature of any office appliances or road transport vehicle; or

(iv) is not an asset on which the whole of the actual cost is allowed as a deduction (whether by way of depreciation or otherwise) in computing the income under the head “Profits and gains of business or profession” of any tax year.”



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Section 33 – Deduction for depreciation

Analysis: Additional depreciation on new machinery/plant is:

20% of actual cost if the asset is used for 180 days or more in the year of acquisition;

10% in the year of acquisition and remaining 10% in the next year if used for less than 180 days.

“(10) The difference between the written down value and the moneys payable including the scrap value, if any, for any tangible asset in respect of which depreciation is claimed and allowed under sub-section (2), shall be allowed as deduction when—

(a) such asset is sold, discarded, demolished or destroyed in the tax year not being the tax year in which it is first put into use;

(b) the moneys payable including the scrap value, if any, is less than its written down value; and

(c) such deficiency is actually written off in the books of account of the assessee.” (Applicable to Power Generation units)

(11) (a) Where the profits and gains chargeable for the tax year before allowing the deduction under sub-sections (1) to (10) is less than such allowable deduction, then—

(i) if such profits and gains is not a loss, the deduction under sub-sections (1) to (10) shall be allowed to the extent of the available profits and gains;

(ii) if such profits and gains is a loss, no deduction under sub-sections (1) to (10) shall be allowed;

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Section 33 – Deduction for depreciation

“(b) the amount of deduction which has not been allowed under clause (a) shall be added to the allowable deduction under this section, whether available or not, for the succeeding tax year and the total amount shall be deemed to be eligible for deduction in that year, and so on for the succeeding tax years; and

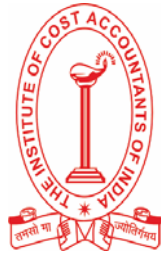
(c) the provisions of this sub-section shall be subject to the provisions of sections 112(3) and 113(4)”.

Note 1: The said condition has specifically been inserted under sec.33(8)(c) with a modification that such machinery or plant shall be **‘first put to use’** by the assessee for the purposes of business, instead of mere **‘put to use’**.

Inserting the word “first” preceding the expression “put to use” indicates that allowing deduction of additional depreciation to the assessee has become more stricter as the assessee has not just to put to use the said new machinery or plant for the purposes of business, but such machinery or plant shall have to be first put to use for the purposes of business.

This may give rise to future litigation regarding the interpretation of the phrase “first put to use” as used in Section 33(8)(c) of the Income Tax Act, 2025.

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Section-34 of Income Tax Act, 2025

General conditions for allowable deductions



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Section 34 – General conditions for allowable deductions

Analysis: This provision lays down the general principle for allowability of business expenditure, stating that any expense (other than those specifically covered under section 28 to 33, 44 to 49, 51 and 52, or not being capital or personal in nature) shall be allowed as a deduction if it is incurred wholly and exclusively for the purposes of business or profession.

However, certain expenditures are **expressly disallowed** even if incurred for business purposes. These include expenses incurred for any purpose which is an **offence or prohibited by law** [Sub-section (2)(a)], expenditure on corporate social responsibility (CSR) activities, and expenses on **advertisements** in publications of political parties.

“(3) The expenditure mentioned in sub-section (2)(a) shall include expenditure incurred for—

- (a) any purpose which is an offence under, or is prohibited by, any law in force in or outside India; or*
- (b) providing a benefit or perquisite in any form to a person, who may or may not be carrying on a business or exercising a profession, when its acceptance by the person is in violation of any law or rule or regulation or guideline governing the conduct of that person; or*
- (c) compounding an offence under any law in force in or outside India; or*
- (d) settling proceedings initiated in relation to contravention under any law notified by the Central Government in this behalf.”*

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Section-35 of Income Tax Act, 2025

Amounts not deductible in certain circumstances



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Section 35 – Amounts not deductible in certain circumstances

Analysis: Irrespective of other provisions of Chapter IV-D, certain expenses are specifically disallowed while computing business income. These include **income-tax** (including surcharge or cess) and **employer-paid taxes** on non-monetary perquisites (Sch III), **tax paid in any other country** for which relief is eligible under sec 159 & 160.

Further, **30% of payments** made to **residents** on which tax is deductible at source but has not been deducted or paid within the prescribed time is **disallowed**, though such expenditure is allowed in the year in which the tax has been paid.

In case of payments to **non-residents** (such as interest, royalty, or fees for technical services, any other sum chargeable under this act), the **entire amount** is **disallowed** if TDS provisions are not complied with, with similar allowance in the year of payment of TDS.

Exceptions are provided, where the payer is not deemed to be an **assessee in default**, in case where the **payee has paid the tax** on such sum on the date on which the **return has been filed by the payee** (in both case Resident or Non-Resident payee).

Contributions to employee funds are disallowed unless proper TDS arrangements are ensured, and salary payments made outside India or to non-residents without TDS compliance are also not allowed as deductions.

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Section 35 – Amounts not deductible in certain circumstances

Analysis: Any amount paid by a State Government undertaking to the State Government in the nature of royalty, licence fee, service fee, privilege fee, service charge or any similar levy, or any amount appropriated directly or indirectly by the State Government from such undertaking, shall **not be allowed** as a deduction while computing business income.

“(e) the expenditure incurred by a firm, assessable as such— (Refer Note 1)

*(i) in the nature of salary, bonus, commission or remuneration, by whatever name called (herein referred as remuneration) to a partner, who is **not a working partner**; or*

*(ii) on the remuneration to a **working partner**, and interest to any partner, if it is—*

*(A) **not authorised** by the partnership deed applicable for the period for which such remuneration or interest is paid; or*

*(B) authorised by and is as per the terms of partnership deed but relates to the period prior to the date of such partnership deed, or which was **not authorised** by the earlier partnership deed; or*

*(iii) on the **aggregate remuneration** to all working partners as authorised by the partnership deed, **exceeding** the amount computed as under:—*

*(A) on the first ₹600000 of the book profit or in case of a loss, ₹300000 or at the rate of 90% of the book profit, whichever is **higher**;*

(B) on the balance of the book profit, at the rate of 60%; or

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Section 35 – Amounts not deductible in certain circumstances

(iv) on interest to any partner as authorised by the partnership deed, exceeding 12% simple interest per annum, so, however, that—

(A) where an individual is a partner in a firm, on behalf, or for the benefit, of any other person (such partner and the other person being herein referred to as “partner in a representative capacity” and “person so represented”, respectively),—

(I) interest paid by the firm to such individual otherwise than as partner in a representative capacity, shall not be taken into account for the purposes of this clause;

(II) interest paid by the firm to such individual as partner in a representative capacity and interest paid by the firm to the person so represented shall be taken into account for the purposes of this clause;

(B) where an individual is a partner in a firm otherwise than as partner in a representative capacity, interest paid by the firm to such individual shall not be taken into account for the purposes of this clause, if such interest is received by him on behalf, or for the benefit, of any other person;

For the purposes of this clause, “book profit” refers to the net profit as per the profit and loss account computed under Chapter IV-D, increased by the amount of partner remuneration if it has already been deducted while arriving at such profit.

A “working partner” means an individual partner who is actively engaged in the conduct of the firm’s business or profession.

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Section 35 – Amounts not deductible in certain circumstances

This provision disallows expenditure incurred by an association of persons (AOP) or body of individuals (BOI), other than specified entities, in the nature of interest, salary, bonus, commission or remuneration paid to its members.

However, in case of **interest**, where has been paid by AOP or body or its member and such member also paid interest to AOP or body, only such excess interest will be disallowed.

Further, where a member acts in a representative capacity on behalf of another person, Interest paid to received form, in an individual capacity is not subject to disallowance, while those made in a representative capacity (including with the person represented) are covered for disallowance.

Additionally, interest paid to a member on behalf of another person, but not in a representative capacity, is not subject to disallowance under this provision.



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Example on Computation of Allowable Remuneration and Interest to Partners (Sec.35(e)(ii))

Note 1: A firm has a **book profit of ₹10,00,000** and pays ₹8,00,000 as remuneration to working partners and ₹2,00,000 as interest at 15% per annum. Compute the allowable deduction and the amount to be disallowed.

Answer: The **allowable remuneration** is computed as follows:
on the first ₹6,00,000 of book profit, 90% i.e., ₹5,40,000 is allowed, (540,000 or 300,000, which ever is higher)
and on the balance ₹4,00,000, 60% i.e., ₹2,40,000 is allowed,

The **total allowable remuneration** is ₹7,80,000.

Since the firm has paid ₹8,00,000,

The **excess ₹20,000** shall be disallowed.

In respect of **interest**, the maximum allowable rate is 12% per annum.

As interest of ₹2,00,000 is paid at 15%,

The allowable interest works out to ₹1,60,000 (i.e., ₹2,00,000 $\times$ 12/15), and the excess ₹40,000 shall be disallowed.

Accordingly, the total disallowance amounts to ₹60,000, comprising ₹20,000 towards excess remuneration and ₹40,000 towards excess interest.

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Section-36 of Income Tax Act, 2025

*Expenses or payments not deductible in certain
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Section 36 – Expenses or payments not deductible in certain circumstances

Analysis: Irrespective of anything contained in the Act, this provision is relating to computation of business income and empowers the Assessing Officer to disallow any expenditure incurred by an assessee in respect of **payments made to a specified person**, to the extent such expenditure is considered **excessive or unreasonable**. The determination of excessiveness is based on factors such as the **fair market value** of the goods, services or facilities, the **legitimate needs** of the business or profession, and the **benefit derived** by the assessee. Accordingly, only the reasonable portion of such expenditure is allowed as a deduction, while the excess portion is disallowed.

For the purpose, (a) “*specified person*” shall mean the following,—

- (i) *in relation to an assessee mentioned in column B of the Table below, the person referred to in column C thereof:*

Table

Sl. No.	Assessee	Specified person
A	B	C
1.	Individual.	Any relative of the assessee.
2.	Company.	Any director of the company or his relative.
3.	Firm.	Partner of the firm or his relative.
4.	Association of persons.	Member of the association or his relative.
5.	Hindu undivided family.	Member of the family or his relative;

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Section 36 – Expenses or payments not deductible in certain circumstances

“(ii) any person being an individual or company or firm or association of persons or Hindu undivided family having substantial interest in the business or profession of the assessee, or any director, partner, member thereof or any relatives of such individual, director, partner, member or any other company in which the first mentioned company has substantial interest;

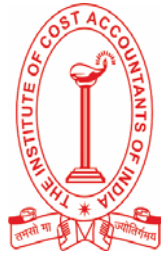
(iii) a company, firm, association of persons, or Hindu undivided family whose director, partner or member has substantial interest in the business or profession of the assessee, or any director, partner or member thereof and their relatives, as the case may be;

(iv) any person carrying on a business or profession, where assessee, being—

- (A) an individual or his relative; or*
- (B) a company, its directors or their relatives; or*
- (C) a firm, its partners or their relatives; or*
- (D) an association of persons, its members or their relatives; or*
- (E) a Hindu undivided family, its members or their relatives,*

has substantial interest in the business or profession of such person”

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Section 36 – Expenses or payments not deductible in certain circumstances

(b) a person is deemed to have “substantial interest in the business or profession” if—

*(i) in a case where the business or profession is carried on by a company, such person is, at any time during the tax year, the beneficial owner of shares (not being shares entitled to a fixed rate of dividend whether with or without a right to participate in profits) carrying **not less than 20% of the voting power**; and*

*(ii) in any other case, such person is, at any time during the tax year, beneficially entitled to **not less than 20% of the profits** of such business or profession.*

Further, the provision of section 36(4), restrict the allowability of expenditure where payments are made otherwise than through specified banking or online modes. Any expenditure in respect of which payment **exceeding ₹10,000** in a day (**₹35,000 for goods carriage** payments) is made **otherwise than through prescribed modes** shall **not** be allowed as a **deduction**.

Further, where a deduction has already been claimed in an earlier year on an accrual basis, but the actual payment in a subsequent year violates this condition, such payment shall be deemed as business income in that subsequent year. However, exceptions may be prescribed considering factors like banking facilities and business expediency. Additionally, payments made through specified modes shall be deemed valid notwithstanding any contrary law or contractual terms. **No deduction** is permitted for **marked-to-market or other expected losses unless specifically allowed** under the relevant provision.

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Section 36 – Expenses or payments not deductible in certain circumstances

Note: The provisions of **Section 36** of the Income Tax Act, 2025 is aligned with the earlier provisions of **Section 40A** of the Income Tax Act, 1961.

Further, **Rule 26** of the Income Tax Rules, 2026, which prescribes the cases and circumstances where payments exceeding ₹10,000 made otherwise than through specified modes shall not be disallowed, is also in line with **Rule 6DD** of the Income Tax Rules, 1962.

Accordingly, there is no substantive change in the new Act and Rules governing the disallowance of expenses or payments in specified circumstances.

However, the structural presentation of these provisions has been significantly simplified, enhancing clarity and ease of understanding.

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Section-37 of Income Tax Act, 2025

Certain deductions allowed on actual payment basis only



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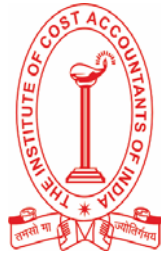
Section 37 – Certain deductions allowed on actual payment basis only

Analysis: Irrespective of anything contained in the Act, **any specified sums (sub-section 2)** that are otherwise **allowable as a deduction** shall be allowed **only in the tax year** in which they are **actually paid**, regardless of the method of accounting followed by the assessee, the year in which the liability was incurred, or any contrary provision in the Act.

(2) The sums payable for the purposes of sub-section (1), shall be—

- (a) tax, duty, cess, **surcharge** or fee, by whatever named called, levied under any law in force; (**Refer Note**)*
- (b) contribution of the employer to a provident fund or superannuation fund or gratuity fund or any fund for the welfare of employees;*
- (c) amount payable by employer in lieu of any leave at the credit of the employee;*
- (d) any sum referred to in section 32(a);*
- (e) interest on loans or advances or borrowings from specified financial entities as per the terms and conditions of the agreement governing such loans or advances or borrowings;*
- (f) amount payable to the Indian Railways for use of railway assets; or*
- (g) amount payable by the assessee to a micro or small enterprise beyond the time limit specified in section 15 of the Micro, Small and Medium Enterprises Development Act, 2006 (27 of 2006).*

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Section 37 – Certain deductions allowed on actual payment basis only

Analysis: Where specified sums (other than those in clause (g)) are paid after the end of the tax year but on or **before the due date of filing the return**, the deduction shall be allowed in the year in which the liability was incurred.

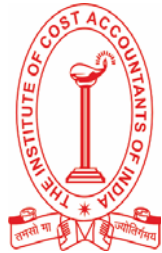
Further, **conversion of interest** on loans or borrowings into loan or advance or debenture or any other instrument that defers the liability to pay on a future date shall not be treated as actual payment.

Any sum already allowed as a deduction on accrual basis shall not be allowed again on payment as deduction.

These provisions do not apply to employee contributions received by the assessee towards specified funds in section 2(49)(o).

Imp Note: The inclusion of the term “**surcharge**” clarifies that such amounts shall be allowed as a deduction only on an actual payment basis. Earlier, the absence of explicit mention led to litigation on this issue; however, this addition now provides clarity and reduce the scope of litigation relating to the such interpretation.

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Section-38 of Income Tax Act, 2025

*Certain sums deemed as profits and gains of
business or profession*



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Section 38 – Certain sums deemed as profits and gains of business or profession

“(1) The following sums shall be deemed to be profits and gains of business or profession and shall be chargeable to income-tax, in the manner specified below, subject to the provisions of sub-section (2):—

(a) where an allowance or deduction has been allowed in respect of any loss, expenditure or trading liability incurred by the assessee during any tax year, then,—

- (i) the value of any benefit accruing to the assessee by way of cessation or remission of such trading liability, including a unilateral act of write-off of such liability in his accounts, in a subsequent tax year in which such benefit accrues; or*
- (ii) any amount obtained by the assessee, whether in cash or otherwise, in respect of such loss or expenditure incurred, in subsequent tax year in which the amount is obtained,*

whether the business or profession in respect of which the allowance or deduction was made is in existence in such subsequent tax year or not;

*(b) in a case where any tangible asset [as referred to in section 33(12)(a)(i)], which is owned by assessee, is sold, discarded, demolished or destroyed, and the moneys payable for such asset, together with the scrap value [A] exceeds the written down value of such assets [C], the sum as computed below, in the tax year in which the moneys payable for such asset becomes due— **(Refer Note 1)***

(i) where the moneys payable for such asset together with the scrap value [A] is less than the actual cost of such asset [B], then—

[A] – [C]; or (ii) in any other case, - [B] – [C];”

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Section 38 – Certain sums deemed as profits and gains of business or profession

“(c) in a case where an asset representing expenditure of a capital nature on scientific research, referred to in section 45(1)(a)(i) is sold, without having been used for other purposes, and the sale proceeds together with the total deductions allowed under that section exceed the amount of capital expenditure, the excess or the amount of deduction so made, whichever is less, in the tax year in which the asset was sold;

(d) in a case where a deduction has been allowed for a bad debt (or part of it) under the provisions of section 31(2), and any amount subsequently recovered exceeds the difference between such debt and the amount allowed, then the amount in excess, in the tax year in which recovery is made;

(e) in a case where a deduction has been allowed for any special reserve created and maintained under the provisions of section 32(e), any amount subsequently withdrawn from such reserve, in the tax year in which the amount is withdrawn.

(2) The provisions of sub-section (1) shall apply subject to fulfilment of the following conditions:—

(a) in respect of sub-section (1)(a), only when an allowance or deduction has been made in assessment for any tax year towards the trading liability, loss or expenditure incurred;

(b) in respect of sub-section (1)(b), only when the asset owned by the assessee, has been used for the purpose of business or profession, and depreciation has been claimed and allowed thereon under section 33(2);

(c) in respect of sub-section (1)(c), only when the asset has not been used for other purposes”.

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Section 38 – Certain sums deemed as profits and gains of business or profession

Analysis to section 38(2) The provisions of sub-section (1) shall apply subject to the following conditions:—

- (a) in respect of sub-section (1)(a), only when an allowance or deduction has been made in assessment for any tax year towards the trading liability, loss or expenditure incurred;
- (b) in respect of sub-section (1)(b), only when the asset owned by the assessee has been used for the purpose of business or profession, and depreciation has been claimed and allowed thereon;
- (c) in respect of sub-section (1)(c), only when the asset has not been used for other purposes.
- (3) where the business or profession is no longer in existence and there is income chargeable under sub-section (1)(a), (c), (d) or (e), any loss (other than speculation loss) of the tax year in which it ceased, which could not be set off earlier, shall be set off against such income;
- (4) in respect of sub-section (1)(a), if the benefit accrues to or amount is obtained by the successor in business, such benefit or amount shall be chargeable to income-tax in the hands of the successor;
- (5) the provisions of sub-section (1)(b), (c), (d) and (e) shall apply even if the business is no longer in existence.

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Section 38 – Certain sums deemed as profits and gains of business or profession

“(3) Where the business or profession referred to in this section is no longer in existence and there is income chargeable to tax under sub-section (1)(a), (c), (d) or (e), in respect of that business or profession, any loss, not being a loss sustained in speculation business, which arose in that business or profession during the tax year in which it ceased to exist and which could not be set off against any other income of that tax year shall, so far as may be, be set off against the income chargeable to tax under the said clauses of that sub-section.

(4) In respect of sums referred to in sub-section (1)(a), if the benefit referred therein accrues to, or amount referred therein is obtained, by the successor in business, the value of the benefit or the amount shall be chargeable to income-tax as income in the hands of successor in business.

(5) The provisions of sub-section (1)(b), (c), (d) and (e) shall apply in a tax year even if the business is no longer in existence.

(6) For the purposes of this section,—

(a) “sold” includes a transfer by way of exchange or a compulsory acquisition under any law for the time being in force but does not include a transfer, in a scheme of amalgamation, of any asset by the amalgamating company to the amalgamated company where the amalgamated company is an Indian company;

(b) “successor in business” means—

(i) the amalgamated company, where there has been an amalgamation;

(ii) the resulting company, where there has been a demerger;

(iii) where the assessee is succeeded by any other person in that business or profession, that other person; (iv) where a firm carrying on a business or profession is succeeded by another firm, that other firm.”



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Section 38 – Certain sums deemed as profits and gains of business or profession

Note 1: A **specific formula** has been provided to determine the taxable amount on disposal of tangible assets, based on moneys payable (A), actual cost (B), and written down value (C).

Rest, the provisions of section 38 of the Income Tax Act, 2025 have been aligned with section 41 of the Income Tax Act, 1961. There is no substantive change in the underlying principles or scope of the provision. However, the language in the new Income Tax Act, 2025 has been streamlined and simplified to improve clarity and ease of understanding.



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Section-39 of Income Tax Act, 2025

Computation of actual cost



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Section 39 – Computation of actual cost

Analysis: This section provides that the actual cost of an asset for business or profession shall be the cost incurred by the assessee, **reduced by** any portion of the cost met directly or indirectly by another person or authority, any input tax credit of GST claimed and allowed, any excise or additional customs duty for which credit has been availed, and any subsidy, grant, or reimbursement received from the Central or State Government, any statutory authority, or any other person in relation to the asset.

Further, any payment (or aggregate payments) exceeding ₹10,000 in a single day made for acquiring the asset otherwise than through specified banking or electronic modes shall not be included in the actual cost of the asset.

*“3) In a case where the subsidy, grant or reimbursement referred to in sub-section (1)(d) is **not directly relatable to the asset acquired**, the amount of reduction under sub-section (1)(d) shall be determined as under:*

(REFER NOTE -1)

$$A \times (B / C)$$

Where-

A = total amount of subsidy, grant or reimbursement not directly relatable to the asset;

B = cost of the asset acquired for which actual cost is to be determined;

C = cost of all the assets in respect of or in reference to which the subsidy or grant or reimbursement is so received.”

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Section 39(4) – Tabular presentation of actual cost of asset in specified circumstances

Table		
Sl.No.	Specified circumstances	Determination of actual cost
A	B	C
1.	Where capital asset is transferred by an amalgamating company to an amalgamated company being an Indian company in a scheme of amalgamation.	Actual cost to amalgamated company shall be the same as it would have been if the amalgamating company had continued to hold such capital asset for the purpose of its own business.
2.	Where capital asset is transferred by a demerged company to a resulting company being an Indian company in a demerger.	Actual cost to resulting company shall be the same as it would have been, if the demerged company had continued to hold such asset for the purpose of its own business, which shall not exceed the written down value of such capital asset in the hands of demerged company.
3.	Where inventory is converted into or treated as a capital asset.	Fair Market Value of such inventory as on date of conversion, as determined in the manner as may be prescribed.
4.	Where asset is acquired by the assessee by way of gift or inheritance.	Actual cost to the previous owner as reduced by— (a) depreciation actually allowed in respect of tax year commencing on 1st April, 1986 or any earlier tax year; and (b) depreciation allowable for tax year commencing on or after 1st April, 1987 under this Act or under the Income-tax Act, 1961(43 of 1961) , as if such asset was the only asset in the relevant block of asset.

5.	Where a building, being the property of the assessee, is put to use for the purpose of business or profession during the tax year.	Actual cost of the building as reduced by the depreciation— (a) that would have been allowable had the building been used for the purpose of business or profession from the date of acquisition; and (b) calculated at the rate in force on the date on which such asset was put to use for the purpose of business or profession.
6.	Where capital asset is transferred by— (a) a holding company to its subsidiary company; or (b) a subsidiary company to its holding company, and the conditions of section 70(1)(c) and (d) , as the case may be, are satisfied.	Actual cost to the transferee company shall be the same as it would have been, if the transferor company had continued to hold such asset for the purpose of its own business.
7.	Where an asset, which previously belonged to the assessee and had been used by him for the purpose of his business or profession, is reacquired by the assessee.	(a) Actual cost of the asset in the hands of assessee, when it was first acquired, as reduced by— (i) depreciation actually allowed in respect of tax year commencing on 1st April, 1986 or any earlier tax year; and (ii) depreciation allowable for tax year commencing on or after 1st April, 1987 under this Act or under the Income-tax Act, 1961(43 of 1961) , as if such asset was the only asset in the relevant block of asset; or (b) actual price for which such asset is reacquired by the ¹ [assessee], whichever is lower.

Analysis: For the purpose of simplification, the provisions relating to the determination of actual cost of assets in specified circumstances have been presented in tabular form under Section 39(4) of the Income Tax Act, 2025.

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Section 39(4) – Tabular presentation of actual cost of asset in specified circumstances

8.	Where an asset is acquired by the assessee from previous owner and subsequently asset is given back to the previous owner by way of lease, hire or otherwise, and— (a) the asset was being used for the purpose of business or profession by the previous owner; and (b) depreciation has been claimed by the previous owner.	Actual cost of asset to the assessee shall be the written down value of the asset in the hands of the previous owner at the time of transfer by the previous owner.
9.	Where an asset is used in business after it ceases to be used for scientific research related to that business and a deduction is allowable under section 33(3) .	Actual cost of asset as reduced by deduction allowed for the capital asset under section 45(1)(a)(i) or under section 35(1)(iv) of the Income-tax Act, 1961 (43 of 1961).

10.	Where the assessee had acquired an asset outside India, as a non-resident, and the asset is brought by him to India and put to use in his business or profession in India.	Actual cost of the asset as reduced by the depreciation— (a) that would have been allowable had the asset been used for the purpose of business or profession in India since the date of its acquisition; and (b) calculated at the rate in force.
11.	Where capital asset is acquired under the scheme of corporatisation of a recognised stock exchange approved by the Securities and Exchange Board of India.	Actual cost of the asset, as if there was no corporatisation.
12.	(a) Where deduction under section 46 was allowed or allowable in respect of the capital asset— (i) to the assessee; or (ii) to any person and the assessee acquires or receives such asset through special modes of acquisition from such person. (b) Where deduction allowed under section 46 in respect of a capital asset becomes deemed income as per section 46(2)(b) .	(a) Actual cost shall be deemed to be nil. (b) Actual cost of the asset as reduced by the depreciation,— (i) that would have been allowable had the asset been used for the purpose of business since date of acquisition; and (ii) calculated at the rate in force.
13.	Where any amount is paid or payable as interest in connection with the acquisition of an asset.	Actual cost shall not include so much of such amount as is relatable to any period after such asset is first put to use.

Analysis: For the purpose of simplification, the provisions relating to the determination of actual cost of assets in specified circumstances have been presented in tabular form under Section 39(4) of the Income Tax Act, 2025.

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Section 39 – Computation of actual cost

Irrespective of sub-section (4) (except serial number 8 of the relevant table), where an asset is acquired by an assessee and such asset was previously used by another person for business purposes, and the Assessing Officer is satisfied that the primary purpose of such transfer was to reduce tax liability by claiming depreciation on an inflated actual cost, the actual cost shall be determined by the Assessing Officer based on the facts and circumstances of the case. Such determination requires prior approval of the Joint Commissioner.

Further, for the purposes of this section, “special modes of acquisition” include acquisition by way of gift, will, or irrevocable trust, distribution upon liquidation of a company, or transfers covered under specified clauses of section 70(1).

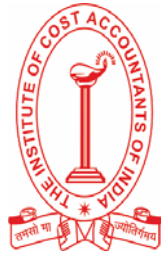
Note 1: Sub-section (3) of section 39 introduces a **formula** for apportioning subsidies not directly linked to a particular asset, ensuring proportionate reduction in actual cost.

Example:

Suppose an assessee receives a total subsidy of ₹1,00,000 (A), which is not directly attributable to any specific asset. The cost of a particular asset (B) is ₹5,00,000, and the total cost of all assets (C) is ₹20,00,000.

The proportionate subsidy attributable to this asset will be: $\text{₹1,00,000} \times (5,00,000 / 20,00,000) = \text{₹25,000}$
Accordingly, ₹25,000 will be reduced from the actual cost of asset.

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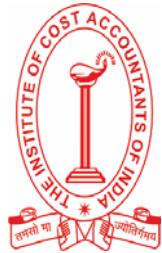
Section-40 of Income Tax Act, 2025

Special provision for computation of cost of acquisition of certain assets



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Section 40 - Special provision for computation of cost of acquisition of certain assets

(1) For the purposes of computation of income under the head “Profits and gains of business or profession”, cost of acquisition of an asset which becomes property of—

- (a) an amalgamated company under a scheme of amalgamation; or*
- (b) an assessee, under a gift, or will, or an irrevocable trust, or on total or partial partition of a Hindu undivided family,*

when sold as stock-in-trade shall be the sum of—

*(i) cost of acquisition of the said asset in the hands of the **amalgamating company** in case of clause (a), or the **transferor** or **donor** in case of clause (b);*

*(ii) any cost of **improvement** made;*

*(iii) any expenditure incurred by the **amalgamating company** or **transferor** or **donor**, as the case may be, wholly and exclusively in connection with such transfer.*

(2) This section shall not apply to an asset referred to in section 67(6).

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Section 40 - Special provision for computation of cost of acquisition of certain assets

Analysis: This section provides that cost of acquisition for assets transferred by amalgamation, partition, gift, will, or irrevocable trust and later sold as stock-in-trade.

For amalgamations, the **amalgamated company's cost** is the amalgamating company's cost, also includes **any improvement costs** and **any expenditure** wholly and exclusively incurred in relation to such transfer borne by the amalgamating company.

For partition, gift, will, or irrevocable trust transfers, the **transferor's or donor's cost** is the transferee's cost and also includes **any improvement cost** and **any expenditure** wholly and exclusively incurred in relation to such transfer, paid by the transferor or donor.



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Section-41 of Income Tax Act, 2025

Written down value of depreciable asset



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Section 41 - Written down value of depreciable asset

For the purposes of computation of income under the head “Profits and gains of business or profession”, the written down value (WDV) of an **asset means** the actual cost to the assessee where the asset is acquired during the tax year, and where the asset has been **acquired before the tax year**, it means the actual cost to the assessee as **reduced** by the **depreciation** actually allowed under this Act or under the Income-tax Act, 1961. “(c) *in case of block of assets, the written down value computed in the following manner:*

$[(A-D) + B-C]-E$, where

A = the written down value of the block of assets in the immediately preceding tax year;

B = actual cost of any asset falling within that block, acquired during the tax year;

C = moneys payable together with scrap value, if any, in respect of any asset falling within the block, which is sold, transferred, demolished, destroyed or discarded during the tax year, where “C” shall not exceed (A-D)+B;

D = depreciation actually allowed in respect of block of assets in relation to the said immediately preceding tax year;

E = in the case of a slump sale, the actual cost of the asset falling within that block as reduced by—

(i) depreciation actually allowed in respect of tax year commencing on 1st April, 1986 or any earlier tax year; and

(ii) depreciation allowable for tax year commencing on or after 1st April, 1987 under this Act or under the Income-tax Act, 1961 (43 of 1961), as if such asset was the only asset in the relevant block of asset.”

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Section 41 - Written down value of depreciable asset

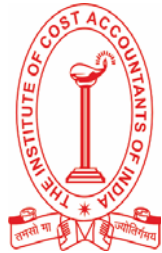
The provisions lay down the determination of written down value (WDV) in cases of transfer and special situations.

Where a block of assets is transferred between holding and subsidiary companies, in amalgamation, or on conversion of a company into an LLP, the actual cost in the hands of the transferee shall be the same as the WDV in the hands of the transferor **after reducing depreciation** for the preceding year.

In case of demerger, the WDV of the demerged company is reduced by the WDV of assets transferred, and the resulting company takes such WDV as its actual cost.

Note: Section 41(3) of the Income-tax Act, 2025 provides a **new formula** for determining the written down value (WDV) of a block of assets, whereas no such formula was provided under Section 43 of the Income-tax Act, 1961.

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Section-42 of Income Tax Act, 2025

Capitalising impact of foreign exchange fluctuation



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Section 42 - Capitalising impact of foreign exchange fluctuation

*(1) Irrespective of anything contained in any other provision of this Act, where at the time of making payment during the tax year, there is a variation in liability of an assessee as expressed in Indian currency, due to change in rate of exchange, in relation to an **asset acquired** for the purpose of business or profession from **a country outside India**, it shall be dealt with in the manner specified in sub-sections (2) and (3).*

*(2) For this section, the liability shall **exclude any part met** directly or indirectly by **any other person or authority** and the “variation in liability” shall be computed as—*

A = B - C where,

A = variation in liability;

B = payment expressed in Indian currency at the time when it is made—

(a) towards the whole or part of the cost of asset; or

(b) towards repayment of the whole or part of the moneys borrowed, directly or indirectly, along with interest in foreign currency, specifically for acquiring such asset;

C = liability, corresponding to the amount referred in B, in Indian currency at the time of acquisition of such asset.

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Section 42 - Capitalising impact of foreign exchange fluctuation

(3) The variation in liability shall be added or reduced from the—

(a) actual cost of the asset as referred in section 39; or

(b) expenditure of capital nature referred to in section 32(i) or 45(1)(a)(i); or

(c) cost of acquisition of a capital asset (not being a capital asset referred to in section 74) for the purpose of section 72,

and the amount arrived at after such addition or deduction shall be taken to be the actual cost of the asset or the amount of expenditure of a capital nature or, as the case may be, the cost of acquisition of the capital asset.

(4) Where the assessee has entered into a contract with an authorised dealer as defined in section 2 of the Foreign Exchange Management Act, 1999 (42 of 1999), for providing him with a specified sum in a foreign currency on or after a stipulated future date at the rate of exchange specified in the contract to enable him to meet the whole or any part of the said liability, the amount, if any, to be added to, or deducted from, the actual cost of the asset or the amount of expenditure of a capital nature or, as the case may be, the cost of acquisition of the capital asset under this section shall, in respect of so much of the sum specified in the contract as is available for discharging the said liability, be computed with reference to the rate of exchange specified therein.

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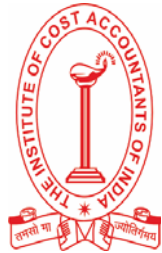
Section 42 - Capitalising impact of foreign exchange fluctuation

Analysis: This section introduced a formula $A = B - C$ brings significant clarity and certainty to the computation of foreign exchange variation in respect of capital assets which was not provided in erstwhile law.

By defining **B** as the actual payment made in Indian currency at the **time of payment** and **C** as the **original liability** recorded at the **time of acquisition**.

This formula-based approach ensures a mechanical, objective, and hassle-free computation, treating both gains and losses symmetrically and linking the adjustment directly to the actual cost of the asset. Overall, the formula strengthens certainty and aligns taxation as per current situation with reduced flexibility.

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Section-43 of Income Tax Act, 2025

Taxation of foreign exchange fluctuation



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Comparative Analysis of Section 43 of ITA'25 vs Section 43AA of ITA'61

Section-43 of ITA'25

(1) Subject to the provisions of section 42, any gain or loss arising on account of change in foreign exchange rates on foreign currency transactions shall be treated as income or loss, as the case may be, and shall be computed as per the income computation and disclosure standards notified under section 276(2).

(2) The provisions of sub-section (1) shall be applicable to all foreign currency transactions, including those relating to—

- (a) monetary items and non-monetary items;*
- (b) translation of financial statements of foreign operations;*
- (c) forward exchange contracts; and*
- (d) foreign currency translation reserves.*

Section-43AA of ITA'61

(1) Subject to the provisions of section 43A, any gain or loss arising on account of any change in foreign exchange rates shall be treated as income or loss, as the case may be, and such gain or loss shall be computed in accordance with the income computation and disclosure standards notified under sub-section (2) of section 145.

(2) For the purposes of sub-section (1), gain or loss arising on account of the effects of change in foreign exchange rates shall be in respect of all foreign currency transactions, including those relating to—

- (i) monetary items and non-monetary items;*
- (ii) translation of financial statements of foreign operations;*
- (iii) forward exchange contracts;*
- (iv) foreign currency translation reserves.*

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Section 43 - Taxation of foreign exchange fluctuation

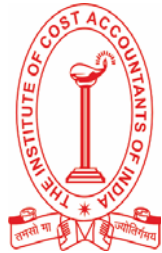
Analysis: This section provides that any gain or loss arising on account of changes in foreign exchange rates including Forward exchange contracts, shall be treated as income or expense under the head “Profits and Gains of Business or Profession” and shall be computed in accordance with the Income Computation and Disclosure Standards (ICDS), subject to section 42 of the Income Tax Act, 2025.

Imp Note: It is a settled position in law that foreign exchange fluctuation gains or losses are **not contingent in nature**, but arise from existing obligations as on the balance sheet date.

The Hon’ble Supreme Court in the case of *CIT vs. Woodward Governor India Pvt. Ltd.* (179 Taxman 326) has held that **loss on account of foreign exchange fluctuation** in respect of monetary items as on the balance sheet date is an **allowable expenditure**.

It is important to note that, it is proposed that the requirements of Income Computation and Disclosure Standards (ICDS) into the Indian Accounting Standards (Ind AS) itself and hence scrapping the separate requirement of ICDS from tax year 2027-28 for ease of doing business.

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Section-44 of Income Tax Act, 2025

Amortisation of certain preliminary expenses



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Section 44 - Amortisation of certain preliminary expenses

Analysis: If an assessee, being an **Indian company** or a **person (other than a company)**, who is resident in India, incurs **any expenditure** specified in sub-section (2) before the commencement of its business or after the commencement of its business in connection with the extension of its undertaking or setting up a new unit, the assessee shall be allowed a deduction of an amount equal to **one-fifth of such expenditure** for each of the five successive tax years **beginning with the tax year** in which the **business commences** or the tax year in which the **extension of the undertaking is completed** or the new unit commences production or operation, as the case may be,

As per sub section (2), such expenditure shall include expenditure in connection with preparation of **feasibility report, project report, market survey or other necessary survey, engineering services, legal charges** for agreements, and assessee shall furnish a statement contain the particulars of the such expenditure in manner as prescribed.

and **in case of a company**, also **legal charges** for Memorandum and Articles, registration fees, and expenses relating to issue of shares or debentures, along with such other prescribed expenditure; the assessee shall furnish prescribed statement for such expenditure,

and the allowable deduction shall be restricted to **5% of the cost of the project or capital employed** in the business of the **company**, at its option;

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Section 44 - Amortisation of certain preliminary expenses

Analysis: cost of the project and capital employed shall be determined as per the provisions specified, including issued share capital, debentures and long-term borrowings;

in case of **persons other than company or co-operative society**, no deduction shall be allowed unless the such person shall furnish the **audit report** from an accountant on such **expenditure incurred** before the due date of furnishing tax audit report as per section 63 of the Act.

where undertaking is transferred in **amalgamation** or demerger before expiry of five years, **deduction** shall not be allowed to transferor entity for the year of transfer but shall **continue** to the **transferee entity**; and

where deduction is claimed and allowed under this section, no deduction shall be allowed for such expenditure under any other provision of this Act.



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New Requirement in Form No 005: Statement regarding preliminary expenses incurred by the assessee

Form No 005- Statement regarding preliminary expenses incurred by the assessee to be furnished under Section 44(3) of the Income Tax Act, 2025.

A new requirement has been **introduced** in Form No. 005, which is highlighted in the **green box** in the extract of the form provided here.

However, a few fields and requirements that were present in earlier Form 3AF have been **removed** in the new Form No. 005, such as

- TAN of the assessee (if applicable).
- Amount of expenditure (bifurcation such as paid in cash and paid other than cash).
- Section under which TDS is deducted.
- Details of the person having prior experience in carrying out the activity.

Extract of Form No 005

Form No. 005 - Statement regarding preliminary expenses incurred by the assessee to be furnished under Section 44(3)

FORM NO. 5

[See rule 27]

Statement regarding preliminary expenses incurred by the assessee to be furnished under [Section 44\(3\)](#)

Part A: Particulars of the assessee		
1.	Name	(refer Note 1)
2.	Address	(refer Note 2)
3.	Permanent Account Number	
4.	Status	(refer Note 3)
5.	Email id	
6.	Contact number	Country Code Number
7.	Tax year	

Part B: Details of preliminary expenses	
1. Amount of expenditure in connection with— (select one or more)	☐ Preparation of feasibility report ☐ Preparation of project report ☐ Conducting market survey or any other survey necessary for business ☐ Engineering services relating to the business



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New Requirement in Form No 006: Audit Report for claiming deduction for certain preliminary expenses

Form No 006- Audit Report for claiming deduction for certain preliminary expenses under section 44 of the Income Tax Act, 2025.

A new requirement has been **introduced** as Annexure A to Form No. 006, which contains **details of the assessee & other details** that were earlier not required to be furnished in Form No. 3AE.

Extract of Form No 006. has been provided here for reference.

Extract of Form No 006

ANNEXURE

SECTION A

Statement of particulars required for the purposes of deduction under [section 44](#)

Part A: Particulars of the assessee		
1. Name of the assessee	(refer Note 1)	
2. Address	(refer Note 2)	
3. Permanent Account Number		
4. Residential Status	(refer Note 3)	
5. Email id		
6. Contact number	Country Code	Number
7. Tax year (for which deduction is claimed)		



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Section-45 of Income Tax Act, 2025

Expenditure on scientific research



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Section 45 - Expenditure on scientific research

Analysis: The provision allows deduction for expenditure incurred on scientific research related to the assessee business, including both revenue and capital expenditure (other than expenditure on acquisition of land), and also pre-commencement of business expenditure (both revenue such as salary and purchase of materials) incurred within three years prior to commencement of business as allowable in the year of commencement, subject to certification by the prescribed authority.

It further provides that companies engaged in **biotechnology or in manufacture or production of articles** (other than those specified) are eligible for deduction in respect of approved in-house research and development expenditure (excluding cost of land and building), including expenditure on clinical drug trials, regulatory approvals and patent applications in case of pharmaceuticals, subject to prescribed conditions, furnishing of documents, and restriction that no deduction shall be allowed under any other provision or to companies covered under specified clauses.

Deduction is also allowed for **sums paid to approved research associations**, universities, colleges, institutions, approved R&D companies, national laboratories, IITs or specified persons for scientific research or approved programmes, subject to prescribed conditions, approvals and notifications, and such deduction shall not be denied merely because approval is withdrawn subsequently.

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Section 45 - Expenditure on scientific research

The section **restricts double deduction** by providing that where deduction is allowed for an asset, no deduction shall be allowed under other specified provisions and depreciation provisions shall apply accordingly, and further no deduction for specified payments shall be claimed under any other provision.

It also provides **that disputes** regarding whether an activity or asset qualifies as scientific research shall be decided by the Central Government or prescribed authority whose decision shall be final.

and in **cases of amalgamation**, the benefit of deduction in respect of capital assets used for scientific research shall continue in the hands of the amalgamated company as if no transfer had taken place.



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New Requirement in Form No 7: Application for approval of scientific research programme under section 45(3)(c)

Extract of Form No 7

Particulars of the scientific research programme	
12. Person to whom application is made (select anyone)	- National laboratory - University - Indian Institute of Technology - Specified Person
13. Name of the National laboratory, university, Indian Institute of Technology or specified person, as the case may be	(refer Note 1)
14. Address of the National laboratory, university, Indian Institute of Technology or specified person, as the case may be	(refer Note 2)
15. Title of the programme	

16. Purpose of the programme	(refer Note 3)
17. Proposed date of commencement of the programme	(dd/mm/yyyy)
18. Duration of the programme in months	
19. Total cost of the programme (including cost of raw materials, equipment, manpower, services, indirect costs, overheads and intellectual inputs)	
20. Total funds to be provided by the sponsor for the programme	
21. Other details to be provided as separate enclosure	(refer Note 3)

Analysis: Form No 7- Application for approval of scientific research programme under section 45(3)(c) of the Income Tax Act, 2025.

Few requirement has been **introduced** to Form No. 7, which is highlighted in Red box in extract of Form No 7 given above that were earlier not required to be furnished in Form No.3CG.

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New Requirement in Form No 9: Audit Report for claiming deduction for certain preliminary expenses

Extract of Form No 9

14.	Details of the programme approved by the prescribed authority	Order No. and dated	
		Issued from	
		file No.	
15.	Tax year in which this payment is made		
16.	Total amount of payments received so far, including this payment, towards this programme during the tax year mentioned in row 15	(in figures)	
		(in words)	
17.	Details of payments received in earlier tax years	Tax year	Amount
		(i)	
		(ii)	

Analysis: Form No 9- Receipt of payment for carrying out scientific research under section 45(3)(c) of the Income Tax Act, 2025.

A new requirement has been introduced in Form No. 9 to disclose details of payments received in earlier tax years, enabling **tracking of the cumulative amount paid** up to the relevant tax year. Such details were not required to be furnished earlier in Form No. 3CI. This change is **highlighted** in the **red box** in the extract of Form No. 9. (S.L No. 17)

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Comparison of Rule 29 of ITR'26 vs Rule 6 of ITR'62- Time limit of passing the order for approval of expenditure on Scientific Research

Extract of Rule 29 of ITR'26

(2) For the purposes of section 45(2),—

(d) the prescribed authority shall,—

(i) if he is satisfied that the conditions mentioned in section 45(2) and specified in this sub-rule are fulfilled, **pass an order** in writing in Form No. 14, approving the facility **within four months from the end of the month** in which application is received;

(ii) where an application is rejected, a reasonable opportunity of being heard shall be granted to the company; and

Extract of Rule 6 of ITR'62

(5A) The prescribed authority shall, if he is satisfied that the conditions provided in this rule and in sub-section (2AB) of section 35 of the Act are fulfilled, **pass an order** in writing in Form No. 3CM :

Provided that a reasonable opportunity of being heard shall be granted to the company before rejecting an application.

Analysis: Rule 29 specifically prescribes the time limit for passing an order in Form No. 14 for granting approval of the facility, which was not explicitly provided under Rule 6 of the Income-tax Rules, 1962.

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Section-46 of Income Tax Act, 2025

Capital expenditure of specified business



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Section 46 - Capital expenditure of specified business

Analysis: The provision allows an assessee, at his option, to claim 100% deduction of **capital expenditure** incurred wholly and exclusively for the purposes of **any specified business** in the tax year in which such expenditure is incurred, and where such expenditure is incurred **prior to commencement of operations** and is capitalised in the books, it shall be **allowed** in the year in which the **business commences**.

This benefit applies only if the specified business satisfies prescribed **conditions**, namely that it is **not formed by splitting** up or reconstruction of an existing business, and **no previously used plant** and machinery is transferred to it, along with **additional conditions** for certain specified businesses such as pipeline or infrastructure businesses, including ownership by specified entities, approval and notification by the relevant regulatory authority (like the Petroleum and Natural Gas Regulatory Board), provision of common carrier capacity, and fulfilment of prescribed conditions, or in case of infrastructure facilities, existence of an agreement with the Central or State Government or other statutory body for development, operation and maintenance.

Further, where deduction under this section is claimed and allowed, **no deduction** shall be allowed under Chapter VIII-C or any other provision in respect of the same expenditure for the same or any other tax year, thereby ensuring that double deduction is not permitted.

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Section 46 - Capital expenditure of specified business

In case of a specified business referred to in sub-section (11)(d)(xiv), the deduction is available only where such business is owned by a company registered in India, a consortium of such companies, or by an authority, board, corporation or any other body established under a Central or State Act, and such entity has entered into an agreement with the Central Government, State Government, local authority or any statutory body for developing, operating and maintaining, or developing, operating and maintaining a new infrastructure facility.

Further, where deduction under sub-section (1) is claimed and allowed for such specified business, no deduction shall be allowed under the provisions of Chapter VIII-C for the same or any other tax year, and no deduction in respect of such expenditure shall be allowed under any other section or again under this section in any other tax year.

Sub-section (6) provides that the provision of this section shall apply to the **specified business**. This sub section provides a list of specified business. (Eg- building and operating a new two-star or above category hotel and a hospital with at least 100 beds, developing housing projects under slum redevelopment or rehabilitation schemes) **Whole list can be referred from act itself.**

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Section 46 - Capital expenditure of specified business

The provision deems that where an assessee constructs a **two-star** or higher category hotel (as classified by the Central Government) and **transfers its operations** to another person while **retaining ownership**, the assessee shall still be regarded as carrying on the specified business.

It further provides that the relevant provisions relating to treatment of goods, services, or assets shall apply mutatis mutandis.

Additionally, any asset in respect of which **deduction** has been claimed and allowed must be **used exclusively** for the specified business for a period of **eight years** from the year of acquisition or construction, failing which, if such asset is used for any other purpose and is not otherwise taxable, the total deduction earlier allowed (reduced by notional depreciation) shall be deemed as business income of the year in which such misuse occurs.

However, provision of sub-section (9) shall not apply to a company that has been declared a sick industrial company during the specified period.

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Rule 36 - Procedure for notification of an affordable housing project and a semiconductor wafer fabrication manufacturing unit

The procedure for notification of an affordable housing project as a specified business under section 46(11)(d)(vii) and a semiconductor wafer fabrication manufacturing unit as a specified business under section 46(11)(d)(xiii) has now been merged and incorporated under Rule 36 of the Income-tax Rules, 2026.

Earlier, these procedures were provided separately under Rule 11OA (for affordable housing projects) and Rule 11OB (for semiconductor wafer fabrication manufacturing units) of Income Tax Rules, 1962.

Imp. Note: The time limit for removal of deficiency in an application (Form No. 18/19 as the case may be) has been **extended** from **15 days** from the date of service of the deficiency letter (or such extended period) to **one month** from the end of the month in which the deficiency letter is served.



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New Requirement in Form No 18: Application for notification of affordable housing project as specified business under section 46

Extract of New Form No. 18

20. If answer to Sl. No. 19 is yes, provide details of other parties (other than applicant) to such an agreement	Name	(refer Note 1)
	Permanent Account Number	
	Address	(refer Note 2)

Extract of Old Form No. 3CN

3.5 Whether the project is developed under any agreement and if yes, the details of other parties (other than applicant) to such an agreement?	Yes/No

Analysis: The new Form No. 18, being the application for notification of an affordable housing project as a specified business under section 46, brings certain **clarifications** by specifically prescribing the **exact details** required to be furnished. For instance, in earlier Form No. 3CN, where the project was developed by other parties, although details were required to be provided, there was confusion regarding the nature of such details. Such confusion has now been removed in the new Form No. 18 by specifying the actual details required. An extract of Form No. 18 is given above.

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Section-47 of Income Tax Act, 2025

*Expenditure on agricultural extension project and
skill development project.*



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Section 47 – Expenditure on agricultural extension project and skill development project

Expenditure (excluding cost of land or building) on **agricultural extension projects** by any assessee or on **skill development projects** by a company is deductible in the tax year in which it is incurred, provided the project is notified by the Board under its guidelines; once allowed under this section, the same expenditure cannot be deducted under any other provision of the Act for the same or any other tax year.

This provision represents a consolidation of Sections 35CCC and 35CCD of the Income-tax Act, 1961. **The extract of the provisions are given below:**

EXTRACT OF SECTION 47 OF ITA'25

“47. Expenditure on agricultural extension project and skill development project.

(1) Any expenditure (excluding cost of any land or building) incurred, on—

(a) agricultural extension project by any assessee; or

(b) any skill development project by a company,

shall be allowed as a deduction, in the tax year in which such expenditure is incurred provided such project is notified by the Board as per the guidelines issued by it.

(2) If a deduction under this section is claimed and allowed for any tax year in respect of any expenditure referred to in sub-section (1), deduction shall not be allowed for such expenditure under any other provision of this Act for the same or any other tax year.”

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Section 35CCC and Section 35CCD of the Income Tax Act'1961

EXTRACT OF SECTION 35CCC OF ITA'61

“Expenditure on agricultural extension project.

35CCC. (1) *Where an assessee incurs any expenditure on agricultural extension project notified by the Board in this behalf in accordance with the guidelines as may be prescribed, then, there shall be allowed a deduction of a sum equal to one and one-half times of such expenditure.*

²**[Provided** that for the assessment year beginning on or after the 1st day of April, 2021, the provisions of this sub-section shall have effect as if for the words “a sum equal to one and one-half times of”, the words “a sum equal to” had been substituted.]

(2) *Where a deduction under this section is claimed and allowed for any assessment year in respect of any expenditure referred to in sub-section (1), deduction shall not be allowed in respect of such expenditure under any other provisions of this Act for the same or any other assessment year.”*

EXTRACT OF SECTION 35CCD OF ITA'61

“35CCD. (1) *Where a company incurs any expenditure (not being expenditure in the nature of cost of any land or building) on any skill development project notified by the Board in this behalf in accordance with the guidelines as may be prescribed, then, there shall be allowed a deduction of a sum equal to one and one-half times of such expenditure.*

Provided that for the assessment year beginning on or after the 1st day of April, 2021, the provisions of this sub-section shall have effect, as if for the words “an amount equal to one and one-half times of”, the words “a sum equal to” had been substituted.

(2) *Where a deduction under this section is claimed and allowed for any assessment year in respect of any expenditure referred to in sub-section (1), deduction shall not be allowed in respect of such expenditure under any other provisions of this Act for the same or any other assessment year.”*

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Comparison vis-à-vis Associated Sections, Rules and Forms (ITA'1961 vs ITA'2025)

Corresponding Rules under this provision at a Glance

Nature of the rules	Rule (ITA'26)	Rule(ITA'62)
Guidelines for approval of agricultural extension project under section 35CCC (Section 47 as per ITA'25)	37	6AAD
Conditions subject to which an agricultural extension project is to be notified under section 35CCC (Section 47 as per ITA'25)	38	6AAE

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Comparison vis-à-vis Associated Sections, Rules and Forms (ITA'1961 vs ITA'2025)

Corresponding Rules under this provision at a Glance

Nature of the rules	Rule (ITA'26)	Rule(ITA'62)
Guidelines for approval of skill development project under section 35 CCD (Section 47 as per ITA'25)	39	6AAF
Conditions subject to which a skill development project is to be notified under section 35CCD (Section 47 as per ITA'25)	40	6AAG

CHANGES IN RULES

- As per **Rule 6AAD(2) of the Income-tax Rules, 1962**, all assesseees are required to file an application for approval in **Form 3C-O**. Where any defect is noticed in the application referred to in sub-rule (2), or where any relevant document is not attached, the Central Board of Direct Taxes is required to intimate such defect to the applicant for rectification **before the expiry of one month from the date of receipt of the application**. However, under the corresponding **Rule 37 of the Income-tax Rules, 2026**, the time limit has been extended. The Board is now required to intimate the defect **before the expiry of one month from the end of the month in which the application is received**. Thus, the amended provision effectively provides additional time to the authorities for communicating defects.

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Comparison vis-à-vis Associated Sections, Rules and Forms (ITA'1961 vs ITA'2025)

- **Further, as per Rule 6AAD(5) of the Income-tax Rules, 1962**, any defect communicated by the Board under sub-rule (4) is required to be rectified by the applicant within **fifteen days from the date of such intimation**, or within such extended period as may be granted by the Central Board of Direct Taxes upon an application made in this behalf. However, the total period allowed for rectification shall **not exceed thirty days**. In case the applicant fails to rectify the defect within the prescribed or extended period, the Board shall pass an order **treating the application as invalid**.

In contrast, under Rule 37(5) of the Income-tax Rules, 2026, the applicant is required to remove the defect **within one month from the end of the month in which the intimation is served**. Further, where the applicant fails to rectify the defect within such period, the Board is now mandated to pass an order **treating the application as invalid within one month from the expiry of the rectification period**.

- **Change in Time Limit for intimation of defect by CBDT:**

ITR'62 : **Before the expiry of one month from the date of receipt of the application**

ITR'26 : **Before the expiry of one month from the end of the month in which the application is received**

- **Change in Time Limit of Rectification by the applicant:**

ITR'62: **15 days**, extendable up to a maximum of **30 days** from the date of intimation

ITR'26: **1 month** from the end of the month in which intimation is served

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Comparison vis-à-vis Associated Sections, Rules and Forms (ITA'1961 vs ITA'2025)

- **As per Rule 6AAD(6) of the Income-tax Rules, 1962**, where the application is complete in all respects, the Central Board of Direct Taxes is required to issue, **within one month from the end of the month in which such complete application is received**, a notification under **section 35CCC(1) in Form No. 3CP**, to be published in the Official Gazette, specifying the agricultural extension project. **In contrast, under Rule 37(7) of the Income-tax Rules, 2026**, where the application is complete in all respects, the Board shall issue a notification **within two months from the end of the quarter in which such application is received**, under **section 47(1)(a) in Form No. 21**, specifying the project.
- **The timeline for issuance of notification has been extended:**
ITR'62: **1 month from the end of the month of receipt**
ITR'26: **2 months from the end of the quarter of receipt**
- **As per Rule 6AAD(6) of the Income-tax Rules, 1962**, The assessee, may, **atleast two months before** the expiry of the effective period of the notification issued under sub-rule (6), make an application to the CBDT for notification of such project for an extension of further period. **In contrast, under Rule 37(8) of the Income-tax Rules, 2026**, The assessee, may, **at least three months before** the expiry of the effective period of the notification issued under sub-rule (7), make an application to the Board for notification of such project for a further period. This also increases the scope of application for extension.

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Comparison vis-à-vis Associated Sections, Rules and Forms (ITA'1961 vs ITA'2025)

- **As per Rule 6AAD(9) of the Income-tax Rules, 1962**, On being satisfied with the report received under rule 6AAD(8) on the agricultural extension project, the CBDT may, **within a period of three months from the end of the month in which it receives application** referred to in sub-rule (7), notify the said project for a further period not exceeding three assessment years. **In contrast, under Rule 37(8) of the Income-tax Rules, 2026**, the Board may, **within two months from the end of the quarter** in which it receives application referred to in sub-rule (8), notify the said project for a further period not exceeding three tax years. This increases the time limit of CBDT to notifying the project for further period.
- **As per Rule 6AAF(5) of the Income-tax Rules, 1962**, if any defect is noticed in the application referred to in sub-rule (2) or if any relevant document is not attached thereto, the NSDA shall, before the expiry of **one month from the date of receipt of the application** in its office, intimate the defect to the applicant for its rectification. **In contrast, under Rule 39(5) of the Income-tax Rules, 2026**, If any defect is noticed in the application referred to in sub-rule (2), or if any relevant document is not attached thereto, the National Council shall, before the expiry of **one month from the end of the month** in which the application is received in its office, intimate the defect to the applicant for its rectification. This increases the time limit for intimating any defect in application.

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Comparison vis-à-vis Associated Sections, Rules and Forms (ITA'1961 vs ITA'2025)

- **As per Rule 6AAF(5) of the Income-tax Rules**, The applicant shall remove the defect within a period of **fifteen days from the date of such intimation** or within such further period as, on an application made in this behalf, may be extended by the NSDA, so however, that the total period for removal of the defect does not exceed thirty days, and if the applicant fails to remove the defect within such period so allowed, the NSDA shall send its recommendation for treating the application as invalid to the CBDT. **In contrast, under Rule 39(6) of the Income-tax Rules, 2026**, The applicant shall remove the defect **within a period of one month from the end of the month in which the intimation letter** for removal of the deficiency is served. Further rule 39(7) Where the applicant fails to remove the deficiency **within the period mentioned in sub-rule (6)**, the National Council shall send its recommendation for treating the application as invalid to the Board.

Corresponding Forms under this provision at a Glance

Nature of the forms	Rule (ITA'26)	Rule(ITA'62)
Application form for approval under sub-section (1) of section 35CCC of the Income-tax Act, 1961 (Section 47 as per ITA'25)	20	3CO
Form for notification of agricultural extension project under sub-section (1) of section 35CCC of the Income-tax Act, 1961 (Section 47 as per ITA'25)	21	3CP

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Comparison vis-à-vis Associated Sections, Rules and Forms (ITA'1961 vs ITA'2025)

Corresponding Forms under this provision at a Glance

Nature of the forms	Rule (ITA'26)	Rule(ITA'62)
Application form for approval under sub-section (1) of section 35CCD of the Income-tax Act, 1961 (Section 47 as per ITA'25)	22	3CQ
Form for notification of skill development project under sub-section (1) of section 35CCD of the Income-tax Act, 1961(Section 47 as per ITA'25)	23	3CR

CHANGES IN FORMS

- **Form No. 20** (earlier Form No. 3CO) is the prescribed application for seeking approval for section 47(1)(a) (earlier section 35CCC(1)) of in respect of expenditure incurred on agricultural extension projects. Under the erstwhile **Form No. 3CO**, the applicant was required to disclose details of any penalty levied under section **271(1)(c)** of the Income-tax Act, 1961 for the **preceding five years**. However, under the revised Form No. 20, the reporting requirement has been aligned with the new penalty framework. The applicant is now required to disclose penalties levied under section 439 (corresponding to earlier **section 270A**) for the **preceding three tax years**.

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Comparison vis-à-vis Associated Sections, Rules and Forms (ITA'1961 vs ITA'2025)

- **Form No. 22 (earlier Form No. 3CQ)** is the prescribed application for seeking approval for section 47(1)(b) (earlier section 35CCD(1)) of in respect of expenditure incurred on agricultural extension projects. Under the erstwhile Form No. 3CQ, the applicant was required to disclose details of any penalty levied under section 271(1)(c) of the ITA'61 for the preceding five years. However, under the revised Form No. 22, the reporting requirement has been aligned with the new penalty framework. The applicant is now required to disclose penalties levied under section 439 (earlier section 270A) for the preceding three tax years.



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Section-48 of Income Tax Act, 2025

Tea development account, coffee development account and rubber development account.



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Overview of section 48 of the Income Tax Act'25

Section 48 states as,

“48. Tea development account, coffee development account and rubber development account.

(1) Where an assessee is carrying on business of growing and manufacturing tea or coffee or rubber in India, such assessee shall be allowed a deduction on the basis of deposits into the special account or deposit account and computed as per the provisions of the Schedule IX.

(2) Any amount withdrawn or utilised or released from the aforesaid accounts at the time of closure or otherwise shall be charged to tax as per the provisions of the Schedule IX.

(3) Where any asset acquired as per the special scheme or the deposit scheme, as referred to in the Schedule IX, is sold or otherwise transferred in any tax year, it shall be charged to tax in accordance with the provisions of the said Schedule.”

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Overview of section 48 of the Income Tax Act'25

Primarily to claim deduction under section 48, there are some condition mentioned in point no. 2 of Schedule IX of the Income Tax Act'25. The extract of the same is given below.

“2. Conditions for claiming deduction.- (1) The deduction under paragraph 1 shall be allowed if the assessee-

- (a) is carrying on the business of growing and manufacturing tea or coffee or rubber in India during the tax year;***
- (b) has, before the expiry of six months from the end of the tax year or before the due date of furnishing the return of his income, whichever is earlier, deposited any amount in the specified account being,-***
 - (i) a special account maintained with the National Bank in accordance with, and for the purposes specified in the special scheme; or***
 - (ii) a deposit account in accordance with, and for the purposes specified in the deposit scheme; and***
- (c) gets the accounts of such business for the relevant tax year audited by an accountant before the specified date referred to in section 63 and furnishes the audit report, in such form and manner as may be prescribed and verified by such accountant, by that date.***

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Overview of section 48 of the Income Tax Act'25

(2) Where the assessee is required, by or under any other law, to get his accounts audited, then it shall be sufficient compliance of sub-paragraph (1)(c), if such assessee-

(a) gets the accounts of such business audited under such law before the specified date referred to in section 63; and

(b) furnishes by that date the report of such audit and a report by an accountant in the form referred to in sub-paragraph (1)(c).

(3) If any deduction has been allowed under paragraph 1 in any tax year, no deduction shall be allowed in respect of such amount in any other tax year.

(4) Where the assessee referred to in paragraph 1 is a firm or an association of persons or body of individuals, the deduction under paragraph 1 shall not be allowed in computing the income of any of the partners or members of such assessee.”

For furnishing the audit report referred to in points 2(1)(c) and 2(2) of Schedule IX, the assessee is required to submit **Form No. 182** (earlier **Form 3AC**) under **Rule 290** (earlier **Rule 5AC**) of the Income-tax Rules, 2026, **on or before the date of such audit report.**

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Changes Introduced in Section 48 of ITA'25 along with Rule 290 and Form No. 182

Under **section 48 of the Income-tax Act, 2025**, read with **Schedule IX**, it is provided that where an assessee is required—under any other law—to have its accounts audited, such audit must be completed **before the “specified date”** referred to in **section 63**.

In contrast, the corresponding provision under **section 33AB of the Income-tax Act, 1961** stated that where an assessee is required to get its accounts audited under any other law, **it shall be deemed sufficient compliance** if the audit is conducted in accordance with that law. This implicitly meant that the **due date prescribed under the relevant governing law** would prevail.

Accordingly, under the earlier regime, compliance with the audit requirement was aligned with the timelines prescribed in the **relevant statute** governing such audit. However, under the 2025 Act, the language appears to mandate that such audit must be completed **on or before the specified date under section 63**, irrespective of the timeline permitted under the other law.

This creates a potential inconsistency, as the due date under the other applicable law may differ from the “specified date” under section 63. Therefore, this shift in drafting may lead to interpretational issues and practical challenges.

In this context, the change could arguably be viewed as a **drafting anomaly**, since it overrides the timeline prescribed under other laws without expressly addressing such divergence. Clarification from the legislature or the tax authorities would be desirable to resolve this ambiguity.

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Changes Introduced in Section 48 of ITA'25 along with Rule 290 and Form No. 182

Extract of some negligible changes in form 182 with the erstwhile form 3AC

Form 3AC

Part I

Audit report under section 33AB(2) of the Income-tax Act, 1961, in a case where the accounts of the business or profession of a person have been audited under any other law

* I/We have to report that the statutory audit of..... [name and address of the assessee].....¹[Permanent Account Number or Aadhaar Number] was conducted by * me/us/M/s..... in pursuance of the provisions of the..... Act, and * I/we annex hereto a copy of the audit report dated..... along with a copy of each of the audited * profit and loss account/income and expenditure statement for the year ended on..... and a copy of the audited balance sheet as at..... along with the documents declared by the relevant Act to be part of, or annexed to, the profit and loss account/income and expenditure statement and the balance sheet.

A further report as required under the proviso to section 33AB(2) is furnished in Part III of this Form. In * my/our opinion and to the best of * my/our information and according to the explanations given to * me/us, the particulars given in Part III of this Form are true and correct.

Place

Date

Signatures

** Accountant

Notes :

Form 182

Audit report under paragraph 2 of Schedule IX,

in a case where the accounts of the business or profession of a person have been audited under any other law

I having Permanent Account Number hereby report that the statutory audit of the (name and address of the assessee) having Permanent Account Number was conducted by me/M/s..... in pursuance of the provisions of the

I annex hereto a copy of the audit report dated along with a copy of each of the audited *profit and loss account/income and expenditure statement for the year ended on and a copy of the audited balance sheet as at along with the documents declared by the relevant Act to be part of, or annexed to, the profit and loss account/income and expenditure statement and the balance sheet.

A further report as required under the sub-paragraph (2) of paragraph 2 of Schedule IX is furnished in Part C and Part D of this Form.

In my opinion and to the best of my information and according to the explanations given to me, the particulars given in Part C and Part D of this Form are true and correct.

Place
Date

Signature

Name of the Accountant.....

Designation.....

Membership Number.....

Unique Document Identification Number (UDIN), if any.....

Name of the proprietorship/ firm.....

Firm Registration Number.....

Notes:

The areas highlighted (such as Membership Number, UDIN, etc.) by arrows indicate the changes introduced in the new Form No. 180.

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Revised Definition of “Accountant” Eligible to Sign the Audit Report

The old Form no 3AC originally **allowed three types of people to sign the report:**

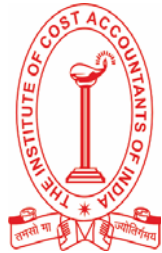
- A CA as defined in the Chartered Accountant’s Act, 1949
- A person entitled to be appointed as an Auditor u/s 226(2) of the Companies Act, 1956
- A person entitled to audit the accounts by virtue of any other law [for those assesseees whose accounts were audited under any other law]

The new Act defines accountant in section 515(3)(b) as a CA defined in the Chartered Accountant’s Act, 1949, subject to certain exclusions, like related parties of the assessee or a CA that has been dismissed from government service or convicted of an offence, etc. Since these are reasonable exclusions, the same definition has been included in the proposed Form.

With respect to the second category, the Companies Act, 2013 does not include a corresponding provision of section 226(2) of Companies Act, 1956. Hence, this clause has been removed as redundant.

Details like membership number, firm registration number, and UDIN have been incorporated in the Form to be filled in mandatorily.

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The parts of the new Form 182

Form No. 182 is divided into three parts.

Part I: Audit report u/s 48 in case where accounts of the assessee have been audited under any other law

Part II: Audit report u/s 48 in case where accounts of the assessee have not been audited under any other law

Part III: Statement of particulars relating to claim of deduction u/s 48

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Form 182: Process Flow at a glance



Step I: Deposit of amounts into specified Account

Step II: Withdrawal of amounts (if any) from specified Account

Step III: Audit by Chartered Accountant under any other law or under section 48

Step IV: Furnishing of Form No. 182 online by Chartered Accountant (e-form)

Step V: E-verification of Form via DSC

Step VI: Acceptance of Form by taxpayer

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Relevant documents to file Form 182

Following documents may be required for filing Form No. 182:

1. Books of account / relevant documents of the business (Balance Sheet, Profit & Loss Account or Income & Expenditure statement).
2. Audit report if audited under any other law
3. Evidence of deposit in the Special / Deposit Account
4. Documents related to withdrawal of funds from Special/Deposit Account showing purpose of withdrawal, proof of utilization
5. Documents related to transfer of assets purchased in accordance with special scheme/Deposit Scheme

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Section-49 of Income Tax Act, 2025

Site Restoration Fund.



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Overview of section 49 of the Income Tax Act'25

“49. Site Restoration Fund.

- (1) An assessee carrying on a business of prospecting, extracting, or producing petroleum or natural gas, or both, in India, and who has an agreement with the Central Government for this business, shall be allowed a deduction on the basis of deposit to special account or site restoration account and computed as per the provisions of the Schedule X.*
- (2) Any amount withdrawn or transferred from the aforesaid accounts at the time of closure or otherwise shall be charged to tax in the year in which the amount is transferred or withdrawn as per the provisions of the Schedule X.*
- (3) Where any asset acquired as per the special scheme, or the deposit scheme, as referred to in Schedule X, is sold or otherwise transferred in any tax year, it shall be charged to tax in accordance with the provisions of the said Schedule.”*

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Revised Definition of “Accountant” Eligible to Sign the Audit Report

For furnishing the audit report referred to in points 2(1)(c) and 2(2) of Schedule X, the assessee is required to submit **Form No. 183** (earlier **Form 3AD**) under **Rule 291** (earlier **Rule 5AD**) of the Income-tax Rules, 2026, **on or before the date of such audit report**. The old Form no 3AD originally **allowed three types of people to sign the report**:

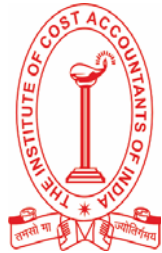
- A CA as defined in the Chartered Accountant’s Act, 1949
- A person entitled to be appointed as an Auditor u/s 226(2) of the Companies Act, 1956
- A person entitled to audit the accounts by virtue of any other law [for those assesseees whose accounts were audited under any other law]

The new Act defines accountant in section 515(3)(b) as a CA defined in the Chartered Accountant’s Act, 1949, subject to certain exclusions, like related parties of the assessee or a CA that has been dismissed from government service or convicted of an offence, etc. Since these are reasonable exclusions, the same definition has been included in the proposed Form.

With respect to the second category, the Companies Act, 2013 does not include a corresponding provision of section 226(2) of Companies Act, 1956. Hence, this clause has been removed as redundant.

Details like membership number, firm registration number, and UDIN have been incorporated in the Form to be filled in mandatorily.

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Section-50 of Income Tax Act, 2025

*Special provision in case of trade, profession or
similar association*



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Special provision in case of trade, profession or similar association (Other than covered in Schedule III (Table: Sl. No. 24))

Where a **specified association's** receipts (Other than subscriptions are included but remuneration for specific services) from members fall short of expenditure incurred solely to protect or advance members' common interest, that shortfall is deductible from the association's income under the **head Profits and gains of business or profession** and the remaining amount, if any, shall be allowed deduction from its income under any other head. Expenditures deductible under any other provision of this act and capital expenditure are excluded from the ambit of this section. Carry forward and set off rules apply first before applying this section and the deduction is subject to an overall statutory cap on allowable reduction of total income.

The term used “specified association” is defined under subsection (2)(a)

““specified association” means any trade, professional or similar association, not covered in Schedule III (Table: Sl. No. 24), whose income or its part is not distributed to its members (other than as grants to any associations or institutions affiliated to it);”

The statutory cap is provided in sub section 4 of this section as

“The maximum allowable deduction under this section shall not exceed 50% of the total income as computed before allowing deduction under this section.”

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Schedule III (Table: Sl. No. 24) of the ITA'25

Schedule III (Table: Sl. No. 24) column no. 3 of the ITA'25 specify association or institution for the purpose of income not to be included in total income enacted u/s 11 of ITA'25. The extract of the said column is given below:

“An association or institution established in India having as its object the control, supervision, regulation or encouragement of the profession of, law, medicine, accountancy, engineering or architecture or such other profession as the Central Government may, by notification specify in this behalf.”



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Section-51 of Income Tax Act, 2025

Amortisation of expenditure for prospecting certain minerals



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Amortisation of expenditure for prospecting certain minerals

51. Amortisation of expenditure for prospecting certain minerals.

(1) An assessee, being an Indian company or a person (other than a company) who is resident in India, who is engaged in any operations relating to prospecting for, or extraction or production of, any mineral, shall be allowed a deduction of an amount equal to one-tenth of the amount of expenditure referred to in sub-section (2), in each of the relevant tax years.

Section 51(2), (3), (4) specify the relevant expenditure which are under the ambit of allowable expenses and which are excluded. The extract of the same is given below:

*“(2) The expenditure referred to in sub-section (1) is the expenditure incurred by the assessee at any time during the year of commercial production and any one or more of the four tax years immediately preceding that year, wholly and exclusively on any operations relating to prospecting for **any mineral or group of associated minerals specified in Part A or Part B, respectively, of the Schedule XII** or on the development of a mine or other natural deposit of any such mineral or group of associated minerals.*

(3) The expenditure under sub-section (2) shall be reduced by such expenditure which is met directly or indirectly by any other person or authority and any sale, salvage, compensation or insurance moneys realised by the assessee in respect of any property or rights brought into existence as a result of the expenditure.

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Amortisation of expenditure for prospecting certain minerals

(4) The following expenditure shall be excluded from the expenditure referred to in sub-section (2):—

- (a) any expenditure on the acquisition of the site of the source of any mineral or group of associated minerals referred to in the said sub-section or of any rights in or over such site; or*
- (b) any expenditure on the acquisition of the deposits of such mineral or group of associated minerals or of any rights in or over such deposits; or*
- (c) any expenditure of a capital nature in respect of any building, machinery, plant or furniture for which allowance by way of depreciation is admissible under section 33.”*

For the purposes of Section 51 of the ITA, 2025, Part A of Schedule XII specifies the minerals, while Part B sets out the groups of associated minerals. **Section 128 of the Finance Act, 2026 has further expanded Part A by inserting nine additional minerals. Those are Beryllium bearing minerals, Glauconite, Graphite, Indium bearing minerals, Lithium bearing minerals, Niobium bearing minerals, Potash, Rhenium bearing minerals, Tantalum bearing minerals.**

As per section 51(5) of the ITA'25, eligible expenditure is allowable as a deduction under section 51 in “ten equal instalments”. However, available deduction, during any previous year, would be **lower of the following-**

- **Instalment amount** (i.e. one-tenth of the expenditure which is allowed as a deduction); **or**
- **An amount sufficient to reduce the total income** (arising from the commercial exploitation of any mine/ other natural deposit of the mineral or group of associated minerals) **of the tax year to ‘NIL’.**

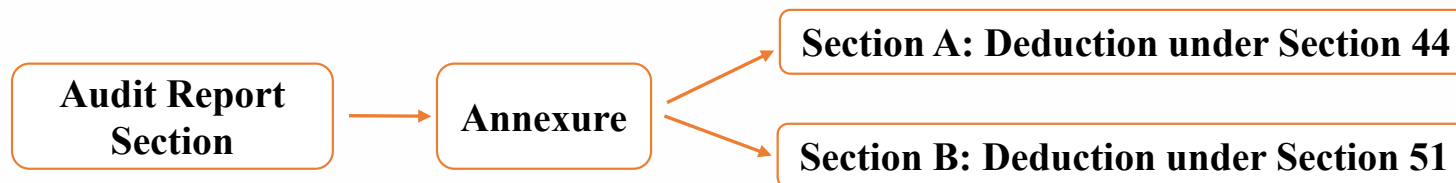
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Procedure to claim deduction u/s 51 for Assessee other than a company or a co-operative society

As per subsection (7), in the case of an **assessee other than a company or a co-operative society**, the deduction under sub-section (1) is subject to certain conditions. The assessee **must ensure that the accounts for the relevant tax year or years, in which the specified expenditure is incurred, are duly audited** by an accountant before the specified date referred to in **section 63**. **Further, in the first tax year in which the deduction is claimed, the assessee is required to furnish the audit report in the prescribed form**, duly signed and verified by the accountant, at least one month prior to the due date for furnishing the return of income for the relevant Tax Year under Section 263(1) of the Income-tax Act, 2025.

Rule 28 (earlier rule 6AB) of Income Tax Rules'26 prescribe **form no. 6** (earlier Form no. 3AE) to comply with the section 51(7) of the ITA'25. Form no. 6 is required to file claim deduction u/s 51 as well as 41 of the ITA'25. Form 6 must be certified by an accountant as defined under Section 515(3)(b) of the Income-tax Act, 2025, i.e., a Chartered Accountant in practice (with some exceptions). Further Form 6 is only required to be filed for the first tax year in which the deduction under this section is claimed. The structure of the form is given below:



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Enhanced Disclosure Requirements in Form 6 vis-à-vis Form 3AE

In Form 6, additional particulars are now required to be furnished. These include the **Permanent Account Number (PAN)**, **Unique Document Identification Number (UDIN)**, if applicable, **name of the proprietorship/firm**, **Firm Registration Number (FRN)**, along with the name and membership number of the accountant. This represents an enhancement over the earlier Form 3AE, which did not mandate such comprehensive disclosures. Further in both the annexure A and B Particulars of the assessee is required additionally as compared to the earlier form. The extract of the same is given below.

ANNEXURE

SECTION A

Statement of particulars required for the purposes of deduction under [section 44](#)

Part A: Particulars of the assessee			
1.	Name of the assessee	(refer Note 1)	
2.	Address	(refer Note 2)	
3.	Permanent Account Number		
4.	Residential Status	(refer Note 3)	
5.	Email id		
6.	Contact number	Country Code	Number
7.	Tax year (for which deduction is claimed)		

SECTION B:

Statement of particulars required for the purposes of deduction under [section 51](#)

Part A: Particulars of the assessee			
1.	Name	(refer Note 1)	
2.	Address	(refer Note 2)	
3.	Permanent Account Number		
4.	Residential Status	(refer Note 3)	
5.	Email id		
6.	Contact number	Country Code	Number
7.	Tax year (for which deduction is claimed)		

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Section 51 of the ITA'25

As per subsection (8), (9), (10)

(4) The following expenditure shall be excluded from the expenditure referred to in sub-section (2):—

(a) any expenditure on the acquisition of the site of the source of any mineral or group of associated minerals referred to in the said sub-section or of any rights in or over such site; or

(b) any expenditure on the acquisition of the deposits of such mineral or group of associated minerals or of any rights in or over such deposits; or

(c) any expenditure of a capital nature in respect of any building, machinery, plant or furniture for which allowance by way of depreciation is admissible under section 33.”

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Procedure to claim deduction u/s 51 in the event of amalgamation and demerger

In the case of amalgamation and demerger, deduction is available as per the provision of section 51(8)

ABC Ltd.
(amalgamating/demerged company)
Claiming deduction u/s 51



Before expiring 10 years
of deduction u/s 51,
amalgamated/demerged



Deduction will be claimed by amalgamated company and all the provisions of section 51 will be applied to the amalgamated company in the case of amalgamation from the year in which such amalgamation takes place.

Deduction will be claimed by resultant company and all the provisions of section 51 will be applied to the resultant company in the case of demerger from the year in which such demerger takes place.

Note: No deduction shall be allowed to the amalgamating or demerged company for the year in which such amalgamation or demerger takes place

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Section-52 of Income Tax Act, 2025

*Amortisation of expenditure for
telecommunications services, amalgamation,
demerger, scheme of voluntary retirement, etc.*



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Section 52 of the Income Tax Act'2025

Section 52(1) states as,

(1) Where an expenditure of the nature specified in column B of the Table given below is incurred during the tax year, a deduction or part thereof shall be allowed in equal instalments in each of the successive tax years as mentioned in column D of the said Table, beginning from the initial tax year specified in column C thereof.

Table

Sl.No.	Nature of expenditure	Initial tax year	Number of tax years over which deduction of expenditure is allowable in equal instalments
A	B	C	D
1.	Expenditure incurred by an Indian company, wholly and exclusively for the purposes of amalgamation or demerger of an undertaking.	Tax year in which such amalgamation or demerger takes place.	Five tax years.
2.	Amount paid to an employee in connection with his voluntary retirement as per any scheme of voluntary retirement.	Tax year in which such payment is made.	Five tax years.

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Section 52 of the Income Tax Act'2025

Section 52(1) states as,

3.	Capital expenditure incurred and actually paid for acquiring any right to use spectrum for telecommunication services (spectrum fee).	Tax year in which,— (a) the business to operate telecom services is commenced; or (b) spectrum fee is actually paid, whichever is later.	Number of years commencing from the initial tax year and ending in the tax year up to which the spectrum for which the fee is paid remains in force.
4.	Capital expenditure incurred and actually paid for acquiring any right to operate telecommunication services (herein referred to as licence fee).	Tax year in which,— (a) the business to operate telecom services is commenced; or (b) licence fee is actually paid, whichever is later.	Number of years commencing from the initial tax year and ending in the tax year up to which the licence for which the fee is paid remains in force.

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Section 52 of the Income Tax Act'2025

This section allows deduction of expenditure referred in table form in the section related to,

- Expenditure incurred by an Indian company, wholly and exclusively for the **purposes of amalgamation or demerger of an undertaking**. (Referred in Table Sl. No. 1)
- **Amount paid to an employee in connection with his voluntary retirement** as per any scheme of voluntary retirement. (Referred in Table Sl. No. 2)
- Capital expenditure incurred and actually paid for acquiring any right to use spectrum for telecommunication services (**spectrum fee**). (Referred in Table Sl. No. 3)
- Capital expenditure incurred and actually paid for acquiring any right to operate telecommunication services (**herein referred to as licence fee**). (Referred in Table Sl. No. 4)

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Comparative Analysis of Table Sl. Nos. 3 & 4 of Section 52(1) and Section 35ABA with respect to Year-wise Allowability of Expenditure

As per section 35ABA(1), it is stated that

“In respect of any expenditure, being in the nature of capital expenditure, incurred for acquiring any right to use spectrum for telecommunication services either before the commencement of the business or thereafter at any time during any previous year and for which payment has actually been made to obtain a right to use spectrum, there shall, subject to and in accordance with the provisions of this section, be allowed for each of the relevant previous years, a deduction equal to the appropriate fraction of the amount of such expenditure.”

Section 52(1), in the Table provided in section 52(1) the 4th column specify **“Number of tax years over which deduction of expenditure is allowable in equal instalments”** and in Table Sl. No. 3 the deduction related to spectrum fees will be allowed in

“Number of years commencing from the initial tax year and ending in the tax year up to which the spectrum for which the fee is paid remains in force.”

and in Table Sl. No. 4 **for license fees it states as:**

“Number of years commencing from the initial tax year and ending in the tax year up to which the licence for which the fee is paid remains in force.”

In ITA'25, the language used has been simplified.

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Section 52(2) and 52(3) of the Income Tax Act' 25

(2) Where the licence or spectrum referred to in sub-section (1) (Table: Sl. No. 3 or 4)—

(a) is transferred, and the proceeds of the transfer (so far as they consist of capital sums) are less than the expenditure though incurred, but remaining unallowed, a deduction equal to such expenditure remaining unallowed, as reduced by the proceeds of the transfer, shall be allowed in respect of the tax year in which the licence or spectrum is transferred;

(b) is transferred, whether in whole or in part, and the proceeds of the transfer (so far as they consist of capital sums) exceed the amount of the expenditure though incurred, but remaining unallowed, so much of the excess as does not exceed the difference between the expenditure incurred to obtain the licence or spectrum and the amount of such expenditure remaining unallowed, shall be chargeable to income-tax as profits and gains of the business in the tax year in which the licence or spectrum has been transferred;

(c) is transferred under clause (b) in a tax year in which the business is no longer in existence, the provisions of said clause shall apply as if the business is in existence in that tax year;

(d) is transferred, whether in whole or in part, and the proceeds of the transfer (so far as they consist of capital sums) are equal or greater than the amount of expenditure incurred remaining unallowed, no

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Section 52(2) and 52(3) of the Income Tax Act' 25

deduction for such expenditure shall be allowed under sub-section (1) in respect of the tax year in which the licence or spectrum is transferred or in respect of any subsequent tax year or years;

(e) is sold or otherwise transferred by the amalgamating company or demerged company, as the case may be, in a scheme of amalgamation or demerger, to the amalgamated company or resulting company, being an Indian company,—

(i) the provisions of clauses (a), (b), (c) and (d) shall not apply to the amalgamating or demerged company; and

(ii) all the provisions of this section shall continue to apply to the amalgamated or resulting company as it would have applied to the amalgamating or demerged company, as if the transfer had not taken place.

(3) Where a part of licence or spectrum referred to in sub-section (1)(Table: Sl. No. 3 or 4) is transferred in a tax year and sub-section (2)(b) and (c) does not apply, the deduction to be allowed under sub-section (1) for the expenditure though incurred but remaining unallowed shall be arrived at by—

(a) subtracting the proceeds of transfer (so far as they consist of capital sums) from the expenditure remaining unallowed; and

(b) dividing the remainder by the number of relevant tax years which have not expired at the beginning of the tax year during which the licence or spectrum is transferred.

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Practical Illustration of Section 52(2) of the Income Tax Act'2025

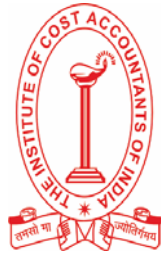
Section 52(2) is related to the tax implication in the case of transfer of License and spectrum referred in section 52(2) in Table Sl. No. 3 and 4 of the ITA'25. Let's understand the provision of section 52(2) through an illustration:

Cost of the License/spectrum		Rs. 100 Cr.
License/Spectrum remains in force		10 Tax Years
License transferred in 3rd Year	Full License/Spectrum sold	Part License/Spectrum sold
Case (I) Sale Value	Rs. 72	Rs. 72
Case (II) Sale Value	Rs. 89	Rs. 89

In the 3rd Year, the cost of License/Spectrum remains unallowed u/s 52 is (Initial Cost – Deduction Allowed in 2 years) i.e. Rs. $\{100 - (100/3 * 2)\}$ i.e. Rs. 80.

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Tax Implication on the transfer of License/Spectrum

Tax treatment in case of Full License/Spectrum transferred (in 3rd Year)

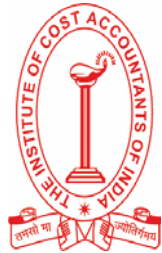
Particulars		Case (I)	Case (II)
A	Sale value	Rs. 72	Rs. 89
B	Less: Cost remaining unallowed	Rs. 80	Rs. 80
C	Difference (A-B)	Rs. (8)	Rs. 9

Case (I): As per section 52(2)(a) of the ITA'25, the proceeds of the transfer less than the expenditure though incurred, but remaining unallowed. Hence, a deduction equal to such expenditure remaining unallowed, as reduced by the proceeds of the transfer i.e. **Rs. 8 (Rs. 80 – Rs. 72), shall be allowed in respect of the tax year in which the licence or spectrum is transferred i.e. in the 3rd year.**

Case (II): As per section 52(2)(b), the proceeds of the transfer exceed the amount of the expenditure though incurred, but remaining unallowed. Hence, so much of the excess as does not exceed the difference between the expenditure incurred to obtain the licence or spectrum and the amount of such expenditure remaining unallowed i.e. **Rs. 9 (Rs. 80 – Rs. 89), shall be chargeable to income-tax as profits and gains of the business in the tax year in which the licence or spectrum has been transferred i.e. in the 3rd year.**

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Tax Implication on the transfer of License/Spectrum

Tax treatment in case of Part of the License/Spectrum transferred (in 3rd Year)

Particulars		Case (I)	Case (II)
A	Sale value	Rs. 72	Rs. 89
B	Less: Cost remaining unallowed	Rs. 80	Rs. 80
C	Difference (A-B)	Rs. (8)	Rs. 9

Case (I): As per section 52(3) of the ITA'25, the proceeds of the transfer less than the expenditure though incurred, but remaining unallowed. Hence, a deduction equal to such expenditure remaining unallowed, as reduced by the proceeds of the transfer i.e. **Rs. 8 (Rs. 80 – Rs. 72), shall be allowed in respect of the tax year** under Section 52(1) by dividing the remainder by the number of relevant tax years which have not expired at the beginning of the tax year during which the licence or spectrum is transferred. **i.e. (Rs. 8/8 years) i.e. Rs. 1 each tax year.**

Case (II): As per section 52(2)(b), the proceeds of the transfer exceed the amount of the expenditure though incurred, but remaining unallowed. Hence, so much of the excess as does not exceed the difference between the expenditure incurred to obtain the licence or spectrum and the amount of such expenditure remaining unallowed i.e. **Rs. 9 (Rs. 80 – Rs. 89), , shall be chargeable to income-tax as profits and gains of the business in the tax year in which the licence or spectrum has been transferred i.e. in the 3rd year.**

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Consequences of Non-Compliance with Section 52 on Expenditure Claimed under Table Sl. No. 3

Section 52(5) provides consequences for non compliances with the provision this section in case of deduction claimed under section 52(1) in Table Sl. No. 3. The extract of the same is given below:

“(5) In case any deduction has been claimed and granted in respect of an expenditure referred to in sub-section (1) (Table: Sl. No. 3) in a tax year and subsequently there is failure on part of the assessee to comply with any of the provisions of this section, then,—

- (a) the deduction shall be deemed to have been wrongly allowed;*
- (b) the Assessing Officer may, irrespective of any other provisions of this Act, recompute the total income of the assessee for the said tax year by making necessary rectification;*
- (c) the provisions of section 287 shall, so far as may be, apply; and*
- (d) the period of four years specified in section 287(8) shall be counted from the end of the tax year in which such failure takes place.”*

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Section 52(6): Tax Treatment in the event of “Specified Business Reorganisation”

Section 52(6) provides tax treatments in case of specified business reorganisation. The extract of the same is given below:

*“Where a **specified business reorganisation** takes place before the expiry of the period specified in sub-section (1) (Table: Sl. No. 2.D), in case of an expenditure referred against serial number 2 thereof, then,—*
(a) the provisions of this section, as far as may be, shall continue to apply to the successor entity as they would have applied to the predecessor entity if such reorganisation had not taken place; and
*(b) **no deduction shall be allowed to the predecessor entity** under this section for the tax year in which such reorganisation takes place.”*

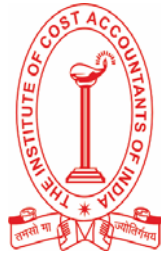
Further, section 52(7)(c) defined the term **specified business reorganisation** as,

“(c) “specified business reorganisation” means—
(i) amalgamation of an Indian company and its undertaking with another Indian company; or
(ii) demerger of an undertaking of an Indian company to another company; or
(iii) succession of a firm or proprietorship concern to a company fulfilling conditions as laid down in section 71(1)(zd); or
(iv) conversion of a private company or unlisted public company to a limited liability partnership fulfilling conditions laid down in section 71(1)(ze).”

Important: It is recommended that, in the above scenarios, to claim 100% deduction of expenditure, the expenditure should be incurred by the amalgamated/resultant company.

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Term used as ‘*Actually Paid*’ in section 52(1)

Section 52(1) Table Sl. No. 3 specify the term “actually paid” is defined under section 52(7)(a) as

“(7) For the purposes of this section,—

*(a) “**actually paid**” means the actual payment of expenditure irrespective of the tax year in which the liability for the expenditure was incurred according to the method of accounting regularly employed by the assessee or payable in such manner, **as may be prescribed;**”*

Further rule 41 of the ITR’26 (earlier rule 6A) describes the term ‘actually paid’ for the purpose of Table Sl. No. 3 of section 52(1). In case of upfront payment and deferred payment of spectrum fees. Expenditure for obtaining the right to use spectrum for telecommunication services is linked to the meaning of "actually paid" under the specified tax provision. Full upfront payment covers the actual expenditure paid, while deferred payment covers the amount that would have been payable on an upfront basis, both according to the regular method of accounting. If deferred payment conditions are breached and spectrum allotment is terminated, the Assessing Officer must recompute income by deeming the amount paid up to termination as "actually paid" and treating . the spectrum as in force only up to termination.

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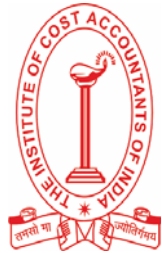
Section-53 of Income Tax Act, 2025

*Full value of consideration for transfer of assets
other than capital assets in certain cases.*



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Section 53 of the Income Tax Act'2025

Section 53 stated that,

53. Full value of consideration for transfer of assets other than capital assets in certain cases.

(1) In case of transfer of an asset (other than a capital asset), being land or building or both, if the consideration received or accrued from such transfer is less than the stamp duty value, then such stamp duty value for computing profits and gains from transfer of such asset shall be deemed to be the full value of consideration.

(2) The provisions of sub-section (1) shall not apply if the stamp duty value does not exceed 110% of the consideration received or accrued and in such a case, the consideration received or accrued shall be deemed to be the full value of consideration.

(3) If the date of agreement fixing the value of consideration for transfer of asset and date of registration for transfer of such asset are different, then the stamp duty value as on date of agreement may be taken to be the full value of consideration under sub-section (1).

(4) The provisions of sub-section (3) shall apply only in a case where the amount of consideration or a part thereof has been received by specified banking or online mode on or before the date of agreement for transfer of such asset.

(5) For the determination of the stamp duty value under sub-section (1), the provisions of section 78(2) and (3) shall apply.

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Section 53 of the Income Tax Act'2025

Section 53 applies to determine the full value of consideration in case of transfer of any asset being land and building (non-capital asset). This section basically provides the rule for computation of full value of consideration. If consideration for transfer of land or building (non-capital asset) is less than the stamp duty value, the stamp duty value is deemed to be the full value of consideration for computing profits and gains. This does not apply where the stamp duty value is within a close-value threshold i.e. (the stamp duty value does not exceed 110% of the consideration received or accrued) relative to the consideration. In case of any difference in agreement date and registration date, the agreement-date stamp duty value may be adopted when payment or part payment was received by specified banking or online modes on or before the agreement date.

Further specified banking or online modes is described in rule 48 (earlier rule 6ABBA) of the ITR'26.

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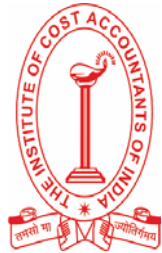
Section-54 of Income Tax Act, 2025

Business of prospecting for mineral oils.



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Section 54 of the Income Tax Act'2025

Section 54(1) states as

“54. Business of prospecting for mineral oils.

*(1) Where the assessee undertakes **specified oil exploration business**, then deduction specified in sub-sections (3) and (4) shall be allowed while computing the income under the head “Profits and gains of business or profession”.*”

There are certain conditions referred in sub section (2) of this section to qualify as a “specified oil exploration business”. The conditions are:

- the Central Government has entered into an agreement with the assessee;
- such agreement is entered for association or participation of the Central Government or any person authorised by it; and
- such agreement is laid before each House of Parliament.

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Deduction specified under the section

Section 54(3) states as

- (3) The deduction referred to in sub-section (1) shall be—*
- (a) for the period before the beginning of commercial production, expenditure towards infructuous or abortive exploration incurred in respect of any surrendered area;*
 - (b) for the period after the commencement of commercial production, expenditure (whether before or after such production) in respect of drilling or exploration activities or services or in respect of physical assets used in that connection;*
 - (c) for the tax year of commencement of commercial production and such succeeding tax years as specified in the agreement, towards depletion of mineral oil in the mining area.*

Further subsection (5) provides Tax treatment in the case of Transfer of business/Interest:

Situation	Condition	Tax Treatment	Amount Considered
Loss scenario	$A < C$	Deduction allowed	$C - A$
Profit scenario (partial recovery)	$C < A < B$	Taxable as business income	$A - C$

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Deduction specified under the section

Situation	Condition	Tax Treatment	Amount Considered
Profit scenario (full/excess recovery)	$A \geq B$	Taxable as business income (capped)	$B - C$

Symbol	Meaning
A	Sale proceeds (capital portion)
B	Total expenditure incurred
C	Unallowed expenditure (remaining deduction)

Further as per the provision of sub section (7) if there is any amalgamation or demerger in business happens then the provision referred in subsection (5) will be applied to amalgamated or resultant entity.

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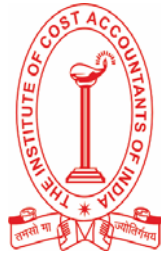
Section-55 of Income Tax Act, 2025

Insurance business.



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Section 55 of the Income Tax Act'2025

55. Insurance business.

Irrespective of anything to the contrary contained in the provisions of this Act for computing income under the head “Income from house property”, “Capital gains” or “Income from other sources”, or in section 390(5) and (6), or in sections 26 to 54, the profits and gains of any business of insurance, including any such business carried on by a mutual insurance company or by a co-operative society, shall be computed as per the provisions of Schedule XIV.

Profits and gains of any insurance business, including those of a mutual insurance company or a co-operative society, must be computed according to **Schedule XIV**, irrespective of contrary provisions in other heads of income or specified sections of the Act.

The schedule have three parts:

Part	Purpose of the part
A	Life insurance business
B	Other insurance business
C	Other provisions

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Section-56 of Income Tax Act, 2025

Special provision in case of interest income of specified financial institutions.



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Section 56 of the Income Tax Act'2025

As per section 56(1),

56. Special provision in case of interest income of specified financial institutions.

(1) Irrespective of anything to the contrary contained in this Act, the interest income in relation to bad or doubtful debts of a specified financial institution shall be chargeable to tax under the head “Profits and gains of business or profession” in the tax year in which such interest is—

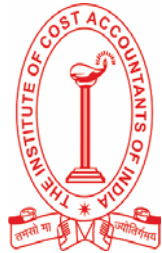
(a) credited to the profit and loss account; or

(b) actually received,

whichever is earlier.

Interest income relating to bad or doubtful debts of a **specified financial institution** is chargeable to tax under the head Profits and gains of business or profession in the tax year in which **such interest is credited to the profit and loss account or actually received, whichever is earlier**. Specified financial institutions and categories of bad or doubtful debts are defined and linked to prescribed categories and Reserve Bank guidelines. Further Rule 42 (earlier rule 6EA) provides categories of bad or doubtful debts under for section 56.

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Section 56 of the Income Tax Act'2025

As per section 56(2) the specified financial institution means, For the purposes of this section,—

“(a) “specified financial institution” means—

(i) a public financial institution; or

(ii) a scheduled bank; or

(iii) a co-operative bank, other than—

(A) a primary agricultural credit society; or

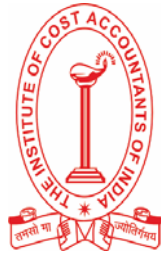
(B) a primary co-operative agricultural and rural development bank; or

(iv) a State Financial Corporation; or

(v) a State Industrial Investment Corporation; or

(vi) any such class of non-banking financial companies, as may be notified by the Central Government;”

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Notification regarding Non-Banking Financial Institution

MINISTRY OF FINANCE
(Department of Revenue)
(CENTRAL BOARD OF DIRECT TAXES)

NOTIFICATION

New Delhi, the 22nd September, 2023

INCOME-TAX

S.O. 4192(E).—In exercise of the powers conferred by section 43D of the Income-tax Act, 1961 (43 of 1961), the Central Government hereby notifies the following classes of non-banking financial companies (NBFCs), for the purpose of the said section, namely:—

- (a) all NBFCs classified in the Top Layer;
- (b) all NBFCs classified in the Upper Layer;
- (c) all NBFCs classified in the Middle Layer.

Explanation.—The classification of NBFCs in the Top Layer, Upper Layer and Middle Layer shall be according to the Reserve Bank of India's guidelines contained in Circular DOR.CRE.REC.No.60/03.10.001/2021-22 dated October 22, 2021.

2. This notification shall come into force from the date of its publication in the Official Gazette.

[Notification No. 79/2023/ F. No.370142/31/2023-TPL]

JIVITESH ANAND, Under Secy.

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Section-57 of Income Tax Act, 2025

Revenue recognition for construction and service contracts.



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Section 57 of the Income Tax Act'2025

Section 57 states as,

57. Revenue recognition for construction and service contracts.

(1) The profits and gains arising from a construction contract or a contract for providing services, shall be determined on the basis of percentage of completion method, subject to provisions of sub-section (2), as per the income computation and disclosure standards notified under section 276(2).

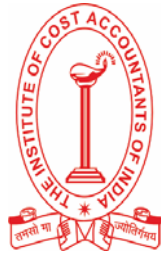
(2) For the purposes of sub-section (1), the profits and gains arising from a contract for providing services shall be determined—

(a) on the basis of project completion method, if the duration of such contract is not more than ninety days;

(b) on the basis of straight line method, if the contract involves indeterminate number of acts over a specified period of time.

(3) For the purposes of percentage of completion method, project completion method or straight line method under this section,—

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Section 57 of the Income Tax Act'2025

(a) the contract revenue shall include retention money;

(b) the contract costs shall not be reduced by any incidental income in the nature of interest, dividends or capital gains.



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Section 57 of the Income Tax Act'2025

Section 57



Revenue recognition
treatment

For the purposes of section 57, **contract revenue** includes retention money, and **contract costs are not to be reduced** by incidental income such as interest, dividends or capital gains.

Construction contract

Contract for providing
services

Percentage of completion
method

- **If contract is for 90 days:** Project completion method
- **If contract is for undetermined period:** straight line method over period
- **Otherwise:** Percentage of completion method

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Section-58 of Income Tax Act, 2025

Special provision for computing profits and gains of business or profession on presumptive basis in case of certain residents.



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Section 58 of the Income Tax Act'2025

As per sections 61 of the Income-tax Act, 2025, a person engaged in business or profession is required to maintain regular books of account under certain circumstances. To give relief to small taxpayers from this tedious work, the Income-tax Act has framed the presumptive taxation scheme under sections 58 (earlier it was governed by section 44AD, 44ADA, 44AE). A person adopting the presumptive taxation scheme can declare income at a prescribed rate and, in turn, is relieved from tedious job of maintenance of books of account. Section 58(2) provides the specified business or profession, eligible assessee, turnover threshold for applicability and manner of computation of income in a tabular form. The extract of the same is given below:

Table

<i>Sl.No.</i>	<i>Specified business or profession</i>	<i>Assessee</i>	<i>Total turnover or, as the case may be, gross receipts of business or profession during tax year</i>	<i>Manner of computation</i>
<i>A</i>	<i>B</i>	<i>C</i>	<i>D</i>	<i>E</i>
1.	Any business other than the business	Eligible assessee.	(a) Does not exceed two crore rupees; or	(A) The aggregate of— (i) 6% of total turnover or

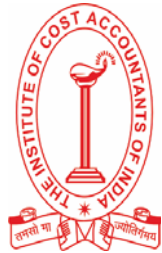
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Section 58 of the Income Tax Act'2025

1.	<i>specified against serial number 2.</i>	<i>Eligible assessee.</i>	<i>(b) does not exceed three crore rupees, where the amount or aggregate of amounts received, in cash, does not exceed 5% of the total turnover or gross receipts.</i>	<i>gross receipts which is received by specified banking or online mode during the tax year or before the due date specified in section 263(1) in respect of that tax year; (ii) 8% of total turnover or gross receipts as reduced by the turnover or gross receipts covered in (i); or (B) profit claimed to have been actually earned, whichever is higher.</i>
2.	<i>Business of plying, hiring or leasing goods carriage.</i>	<i>An assessee, who owns not more than ten goods carriages at any time during the tax year.</i>		<i>(A) The aggregate of income from goods carriage:— (i) being a heavy goods vehicle, calculated at the rate of ₹1000 per ton of gross vehicle weight or unladen weight, as the case may be, for each vehicle, for every month or part of a month during which such vehicle is</i>

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Section 58 of the Income Tax Act'2025

				<i>owned by the assessee in the tax year;</i> <i>(ii) being a vehicle other than heavy goods vehicle, calculated at the rate of ₹7,500 for each goods carriage for every month or part of a month during which the vehicle is owned by the assessee in the tax year; or</i> <i>(B) profit claimed to have been actually earned, whichever is higher.</i>
3.	<i>Specified profession as referred to in section 62(4).</i>	<i>Specified assessee.</i>	<i>(a) Does not exceed fifty lakh rupees; or</i> <i>(b) does not exceed seventy-five lakh rupees, where the amount or aggregate of amounts received in cash does not exceed 5% of the gross receipts.</i>	<i>50% of the gross receipts or profit claimed to have been actually earned, whichever is higher.</i>

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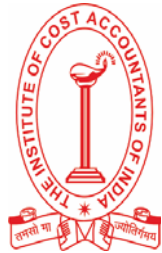
Important terms used in Section 58 of the Income Tax Act'2025

For an assessee claimed that his income is less than the amount computed as per column D of the table given in section 58(2), the treatment is given in subsection (3). The extract of the same is given below:

(3) Any assessee mentioned in column C of the Table in sub-section (2), who claims that—
(a) the profits or gains actually earned from the specified business or profession are lower than the profits or gains computed in the manner mentioned in column E of the said Table; and
(b) whose total income exceeds the maximum amount which is not chargeable to tax,
shall be required to—
(i) keep and maintain such books of account and other documents as required under section 62; and
(ii) get the accounts audited and furnish a report of such audit as required under section 63.

Sub-sections (7) and (8) lay down the provisions relating to **contravention in the declaration of profit** during any of the five tax years succeeding the tax year in which an eligible assessee has declared profit in accordance with sub-section (2) (Table: Sl. No. 1), where such declaration is made in violation of the conditions prescribed under sub-section (1).

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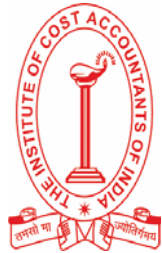
Extract of subsection (7) and (8) of Section 58 of the ITA'25

The extract of subsection (7) and (8) is given below:

“(7) Where an eligible assessee declares profit for any tax year as per the provisions of sub-section (2) (Table: Sl. No. 1) and he declares profit for any of the five tax years succeeding such tax year in contravention of the provisions of sub-section (1), then he shall not be eligible to claim the benefit of the provisions of this section for five tax years subsequent to the tax year in which the profit has not been declared as per the provisions of the said sub-section.

(8) Irrespective of anything contained in foregoing provision of this section, where provisions of sub-section (7) are applicable to an eligible assessee and his total income exceeds the maximum amount which is not chargeable to income-tax, he shall be required to keep and maintain such books of account and other documents as required under section 62 and get them audited and furnish a report of such audit as required under section 63.”

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Important terms used in Section 58 of the Income Tax Act'2025

The term used as “eligible assessee” in Table Sl. No. 1 under column C is described in subsection 58(11)(a) as:

“(11) For the purposes of this section,—

(a) “eligible assessee” means an individual, a Hindu undivided family, or a firm other than a limited liability partnership, who is resident in India, and who—

*(i) [****]*

(ii) has not claimed any deduction under Chapter VIII-C for the relevant tax year;

(iii) does not carry on specified profession as defined in section 62(4);

(iv) does not earn any income in the nature of commission or brokerage;

(v) does not carry on any agency business;”

Further The term used as “specified assessee” in Table Sl. No. 1 under column C is described in subsection 58(11)(b) as:

(b) ““specified assessee” means an individual or a firm, other than a limited liability partnership, who is a resident in India;”

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Important terms used in Section 58 of the Income Tax Act'2025

Some other terms used in this section is described under the subsection (11) as

*“(c) **“limited liability partnership”** shall have the same meaning as assigned to it in section 2(1)(n) of the Limited Liability Partnership Act, 2008 (6 of 2009);*

*(d) the expressions **“goods carriage”**, **“gross vehicle weight”** and **“unladen weight”** shall have the same meaning as respectively assigned to them in section 2 of the Motor Vehicles Act, 1988 (59 of 1988);*

*(e) **“heavy goods vehicle”** means any goods carriage, the gross vehicle weight of which exceeds 12,000 kilograms; and*

(f) an assessee, who is in possession of a goods carriage, whether taken on hire purchase or on instalments and for which the whole or part of the amount payable is still due, shall be deemed to be the owner of such goods carriage.”

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Section-59 of Income Tax Act, 2025

Computation of royalty and fee for technical services in hands of non-residents.



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Section 59 of the Income Tax Act'2025

Section 59 provides the provision related to the Computation of royalty and fee for technical services in hands of non-residents. As per sub section (1) these nature of income will be charged under “Profits and gains of business or profession” if the conditions provided in the respective subsection will be fulfilled. The conditions are:

- Income is received from the Government or an Indian concern;
- Income is in pursuance to an agreement made by the specified assessee with the Government or the Indian concern;
- The specified assessee carries on business in India through a permanent establishment, or performs professional services from a fixed place of profession, situated in India; and
- The right, property or contract in respect of which the royalties or fees for technical services are paid is effectively connected with such permanent establishment or fixed place of profession.

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Section 59 of the Income Tax Act'2025

Section 59(2),(3),(4) states that

“(2) No deduction shall be allowed against the income computed under sub-section (1) in respect of the following amounts:—

(a) any expenditure or allowance which is not wholly and exclusively incurred for the business of such permanent establishment or fixed place of profession in India; or

(b) amounts, if any, paid (otherwise than towards reimbursement of actual expenses) by the permanent establishment to its head office or to any of its other offices.”

(3) The provisions of section 61 in so far as it relates to business referred to in section 61(2) (Table: Sl. No. 5), shall not apply in respect of the income referred to in this section.

(4) The specified assessee shall keep and maintain books of account and other documents as per the provisions of section 62, get his accounts audited on or before the specified date referred to in section 63 by an accountant, and furnish report of audit in the prescribed form, duly signed and verified by the accountant.

The term used as “specified assessee” is referred to non-resident (not being a company) or a foreign company as per sub section (5).

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Section-60 of Income Tax Act, 2025

Deduction of head office expenditure in case of non-residents.



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Section 60 of the Income Tax Act'2025

As per the provision of this section, deduction is allowed for **head office expenditure** incurred outside India and attributable to a non-resident's business or profession in India, limited to **specified executive and general administration costs**, and **subject to a monetary ceiling of five percent applied to adjusted total income or to the average adjusted total income where the adjusted total income is a loss.**

Statutory definitions are prescribed for the term “Adjusted Total Income,” along with the methodology for averaging such income over a period of up to three preceding years, under section 60(3) of the ITA, 2025. Further, clause (c) of section 60(3) provides a detailed description of “head office expenditure” as follows:

*“(c) “**head office expenditure**” means executive and general administration expenditure incurred by the assessee outside India, including expenditure incurred in respect of—*

- (i) rent, rates, taxes, repairs or insurance of any premises outside India used for the business or profession;*
- (ii) salary, wages, annuity, pension, fees, bonus, commission, gratuity, perquisites or profits in lieu of, or in addition to, salary, whether paid or allowed to any employee or other person employed in, or managing the affairs of, any office outside India;*
- (iii) travelling by any employee or other person employed in, or managing the affairs of, any office outside India; and*
- (iv) such other matters connected with executive and general administration, as may be prescribed.”*

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Section-61 of Income Tax Act, 2025

Special provision for computation of income on presumptive basis in respect of certain business activities of certain non-residents.



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Section 61 of the Income Tax Act'2025

In certain cases, it is difficult for the non-resident to maintain India specific books of accounts, which could be due to the nature of the business or other factors. Preparing a statement of taxable income, for complying with the tax laws of India, would require preparation of India specific accounts, and application of various provisions in the income tax act to each such transaction. In order to ease the burden of the non-resident, and provide a simple mechanism to compute the tax liability, the Indian tax laws has certain provisions for non-residents, who are engaged in specific business covered under those regulations, to offer their taxable income as a percentage of the receipts.

Section 61(1) states that,

*“(1) The provisions of sections 26 to 54, to the extent contrary to this section, shall not apply to the manner of computation of profits and gains of the specified business in sub-section (2).
(2) The profits and gains of any specified business as mentioned in column B of the Table below, carried on by a specified assessee as mentioned in column C of the said Table during a tax year, shall be computed in the manner specified in column D thereof, and shall be deemed to be the profits and gains of such business of such assessee chargeable to tax for the said tax year under the head “Profits and gains of business or profession”.”*

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Section 61 of the Income Tax Act'2025

Summarize forms of eligible assessee, nature of business, rate of presumptive income is given below:

Covered in Table Sl. No. of section 61(2)	Nature of Business	Eligible Assessee	Rate of presumptive income	Presumptive rates will be applied on which amount
1	Income from shipping business other than cruise ships	Non-Resident	7.5%	(A+B) where,— A = sum on account of carriage of passengers, livestock, mail or goods shipped at any port in India, whether paid or payable, in or outside India, to the assessee or any other person on his behalf (including demurrage, handling or other similar charges);

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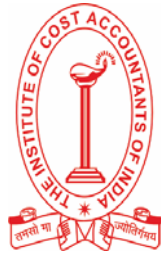


Section 61 of the Income Tax Act'2025

Summarize forms of eligible assessee, nature of business, rate of presumptive income is given below:

1	Income from shipping business other than cruise ships	Non-Resident	7.5%	(A+B) B = sum on account of carriage of passengers, livestock, mail or goods shipped at any port outside India, whether received or deemed to be received in India, by the assessee or any other person on his behalf (including demurrage, handling or other similar charges).
2	Income from operation of cruise ships	Non-Resident	20%	(A+B) where,— A = sum on account of carriage of passengers, paid or payable to the assessee or any other person on his behalf; B = sum on account of carriage of passengers received or deemed to be received by the assessee or any other person on his behalf.

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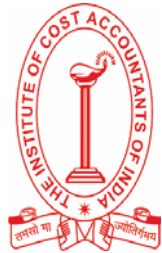


Section 61 of the Income Tax Act'2025

Summarize forms of eligible assessee, nature of business, rate of presumptive income is given below:

3	Income from business of operation of aircraft	Non-Resident	5%	(A+B) where,— A = sum on account of carriage of passengers, livestock, mail or goods from any place in India, paid or payable (in or outside India) to the assessee or any other person on his behalf; B = sum on account of carriage of passengers, livestock, mail or goods from any place outside India, received or deemed to be received in India, by the assessee or any other person on his behalf.
4	business of civil construction or the business of erection of plant or machinery or	Foreign Company	10%	10% of the amount towards such civil construction, erection, testing, or commissioning, paid or payable, to the assessee or to any other person on his behalf, whether in or outside India.

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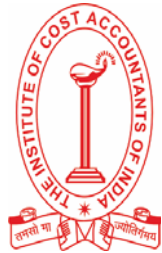


Section 61 of the Income Tax Act'2025

Summarize forms of eligible assessee, nature of business, rate of presumptive income is given below:

4	testing or commissioning thereof, in connection with turnkey power projects approved by C.G.	Foreign Company	10%	10% of the amount towards such civil construction, erection, testing, or commissioning, paid or payable, to the assessee or to any other person on his behalf, whether in or outside India.
5	business of providing services for extraction or production of mineral oils	Non-Resident	10%	(A+B) where,— A = sum on account of business of providing services and facilities in connection with, or supply of plant and machinery on hire used, or to be used, in the prospecting for, or extraction or production of mineral oils in India, paid or payable (in or outside India), to the assessee or any other person on his behalf;

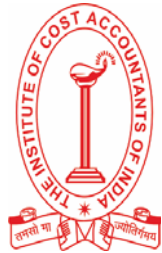
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Section 61 of the Income Tax Act'2025

				B = sum on account of business of providing services and facilities in connection with, or supply of plant and machinery on hire used, or to be used, in the prospecting for, or extraction or production of mineral oils outside India, received or deemed to be received in India, by the assessee or any other person on his behalf.
6	Business of providing services or technology in India, for the purposes of setting up an electronics manufacturing	Non-Resident	25%	$(A+B)$ where,— A = the amount paid or payable to the non-resident assessee or to any person on his behalf on account of providing services or technology; B = the amount received or deemed to be received by the non-resident assessee or on

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Section 61 of the Income Tax Act'2025

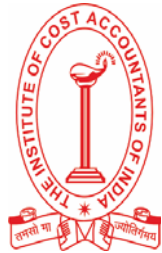
	facility or in connection with manufacturing or producing electronic goods, article or thing in India to a resident company.			behalf of non-resident assessee on account of providing services or technology.
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Further for the purpose of section 61(2) Table Sl. No. 2, in case of Income from operation of cruise ship, there are conditions prescribed under rule 44 of the ITR'26 (earlier rule 6GB). The extract of the said conditions in the rule is given below:

44. Conditions to be fulfilled by a non-resident, engaged in the business of operation of cruise ships under section 61(2)[Table: Sl. No. 2].— For the purposes of section 61(2)[Table: Sl. No. 2], a non-resident assessee, engaged in the business of operation of cruise ships shall, —

(a) operate a passenger ship having a carrying capacity of more than two hundred passengers or length of seventy-five meters or more, for leisure and recreational purposes and having appropriate dining and cabin facilities for passengers;

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Rule 44 read with Section 61(2) Table Sl. No. 2 of the Income Tax Act'2025

- (b) operate such ship on scheduled voyage or shore excursion touching at least two sea ports of India or same sea ports of India twice;*
- (c) operate such ship primarily for carrying passengers and not for carrying cargo; and*
- (d) operate such ship as per the procedure and guidelines if any, issued by the Ministry of Tourism or Ministry of Ports, Shipping and Waterways.*

Further as per sub section (8),

- (8) For the purposes of sub-section (2) (Table: Sl. No. 6), resident company shall satisfy the following:—*
- (a) it is establishing or operating electronics manufacturing facility or a connected facility for manufacturing or producing electronic goods, article or thing in India, under a scheme notified by the Central Government in the Ministry of Electronics and Information Technology; and*
 - (b) it satisfies the conditions as may be prescribed in this behalf.*

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Rule 44 read with Section 61(2) Table Sl. No. 2 of the Income Tax Act'2025

There are rule 45 prescribed in the new rule ITR'26 about the conditions to be fulfilled by the resident company for the purpose of section 61(2) Table Sl. No. 6.

45. Conditions to be fulfilled by a resident company for purposes of section 61(2)[Table: Sl. No. 6].— (1)

For the purposes of section 61(2) [Table: Sl. No. 6], a resident company shall, —

(a) be establishing or operating electronics manufacturing facility or a connected facility for manufacturing or producing electronic goods, article or thing in India under any scheme notified by the Central Government in the Ministry of Electronics and Information Technology and as modified from time to time; and

(b) not become ineligible for the such scheme at any time of the tax year for which tax is to be calculated for the income of the non-resident.

(2) For the purposes of this rule, 'electronics goods' shall mean goods covered under any scheme referred to in sub-rule (1), including their supply chain ecosystem.

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Section 61 of the Income Tax Act'2025

Further under sub-section (3), in relation to sub-section (2) (specifically Table Sl. Nos. 4 and 5), a specified assessee is given the option to declare that the profits actually earned from the specified business are lower than the presumptive profits computed under sub-section (2). However, this claim is permitted only where the assessee must maintain such books of account and other relevant documents as required under section 62. Further, the accounts must be duly audited, and the audit report is required to be furnished in accordance with the provisions of section 63. Only upon fulfilling these conditions can the assessee substantiate and claim lower actual profits in place of the deemed profits under sub-section (2).

Section 61(4) states that,

“(4) Any loss, allowance or deduction allowable under the provisions of this Act shall not be allowed against the income computed in the manner specified in sub-section (2).”

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Section 61 of the Income Tax Act'2025

This section represents a consolidation of the provisions contained in sections 44B, 44BBC, 44BBA, 44BBB, 44BB, and 44BBD of the Income-tax Act, 1961. Sub-section (4) of the present section provides that no loss, allowance, or deduction shall be permitted against the income computed under sub-section (2).

It is pertinent to note that, under the earlier regime, such a restriction on allowing deductions was specifically provided only in sections 44BB and 44BBB of the Income-tax Act, 1961. Thus, the current provision broadens the scope of disallowance by extending it uniformly across all the consolidated provisions.



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Section-62 of Income Tax Act, 2025

Maintenance of books of account.



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Section 62 of the Income Tax Act'2025

Section 61(1) states that,

62. Maintenance of books of account.

*(1) (a) Any person carrying on specified profession; or
(b) any person carrying on, business; or any profession [not being a profession referred to in clause (a)]
and satisfying the conditions referred to in sub-section (2),
shall keep and maintain such books of account and other documents to enable the Assessing Officer to
compute his total income under this Act.*

The conditions referred in above subsection (1)(b) shall be mentioned in sub section (2) as

*“(2) The conditions in respect of persons referred to in sub-section (1)(b) shall be the following:—
(a) where the income from business or profession exceeds ₹ 120000 or its total sales, turnover or gross receipts from such business or profession exceeds ten lakh rupees in any one of the three years immediately preceding the tax year; or
(b) where business or profession is newly set up in the tax year, the income from business or profession is likely to exceed ₹ 120000 or its total sales, turnover or gross receipts from such business or profession is likely to exceed ten lakh rupees during such tax year; or”*

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Section 62 of the Income Tax Act'2025

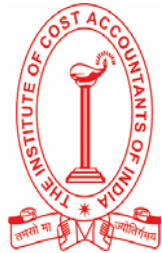
(c) where during the tax year, the assessee referred to in section 58(2) or 61(2)(Table: Sl. Nos. 4 and 5), has claimed income from business or profession to be lower than the deemed profits as referred to in section 58(2) or section 61(2); or

(d) in case of an individual or Hindu undivided family, clauses (a) and (b) shall be modified to the extent of income from such business or profession exceeding ₹ 250000 and its total sales, turnover or gross receipts from such business or profession exceeding twenty-five lakh rupees.

Further for sub section 62(1) provision regarding form and manner of maintenance of books of accounts, person liable to maintain the same is prescribed under rule 46 of the ITR'26 (earlier rule 6F). This rule provides special obligations for specified professions like person carrying on legal, medical, engineering or architectural profession or the profession of accountancy or technical consultancy or interior decoration or profession of authorised representative or film artist, shall keep and maintain the books of account and other documents specified in sub-rule (4) of this rule provided exemptions based on gross receipts thresholds and other exemptions as provided in the sub rules. The rule sets out the required books and supporting documents, defines key terms, prescribes the place and electronic mode of maintenance, and requires retention for seven tax years, with continued preservation where an assessment is reopened.

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Section 62 of the Income Tax Act'2025

The exemptions are provided in sub rule (3) as

“(3) The provisions of sub-rule (2) shall not apply–

- (i) in relation to any tax year in the case of any person, if his total gross receipts in the profession do not exceed ₹ 150000 in any one of the three years immediately preceding the tax year; or*
- (ii) where the profession has been newly set up in the tax year, his total gross receipts in the profession for that year are not likely to exceed the said amount.”*

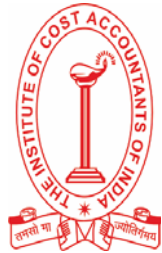
This rule also provides books of accounts other documents to be maintained. The extract of the same is given in sub rule (4)

“The books of account and other documents referred to in sub-rule (2) shall be the following:—

- (a) a cash book; or*
- (b) a journal, if the accounts are maintained according to the mercantile system of accounting; or*
- (c) a ledger; or*
- (d) for sums equal to or exceeding two hundred and fifty rupees, copies of bills or receipts issued by him; or*

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Section 62 of the Income Tax Act'2025

(e) original bills and receipts in respect of expenditure equal to or exceeding two hundred and fifty rupees incurred by the person and issued to him; or
(f) payment vouchers prepared and signed by the person, where the expenditure incurred does not exceed two hundred and fifty rupees, and the cash book maintained by the person does not contain adequate particulars in respect of such expenditure;”

As per sub-rule (6), an additional requirement is imposed on persons carrying on the medical profession

- Maintain daily case register in Form no. 25 (earlier Form 3C);
- An inventory under broad heads, as on the first and the last day of the tax year, of the stock of drugs, medicines and other consumable accessories used for the purpose of his profession.

Further as per sub-rule (8),

(8) The books of account and other documents specified in sub-rules (1), (4) and (6) maintained in electronic mode shall remain accessible in India at all times, and the backup of such books of account and other documents maintained in electronic mode, shall be kept on a daily basis in servers physically located in India.

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Section 62 of the Income Tax Act'2025

Further, section 441 of the ITA'25 provides for penalty in respect of non-compliance with this section. The extract of the relevant provision is reproduced below:

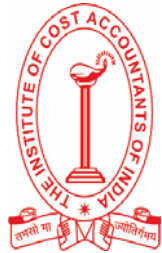
441. Failure to keep, maintain or retain books of account, documents, etc.

A penalty of ₹25000 may be imposed on a person by the Assessing Officer or the Joint Commissioner (Appeals) or the Commissioner (Appeals), if he fails to—

(a) keep and maintain the books of account and other documents as per section 62 or the rules made thereunder, in respect of any tax year; or

(b) retain such books of account and other documents for the period specified in the said rules.

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Section-63 of Income Tax Act, 2025

Tax audit.



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Section 63 of the Income Tax Act'2025

63. Tax audit.

(1) Every person, carrying on the business or profession fulfilling any of the conditions specified in column B of the Table below, shall get his accounts of the tax year audited by an accountant, before the specified date.

Table

Sl.No.	Conditions for getting books of account audited
A	B
1.	Every person— (a) carrying on business shall, if his total sales, turnover or gross receipts, as the case may be, in business exceed or exceeds one crore rupees in any tax year, subject to the provisions of clause (b); (b) In case of a person whose— (i) aggregate of all amounts received including amount received for sales, turnover or gross receipts during the tax year, in cash, does not exceed 5% of the said amount; and

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Section 63 of the Income Tax Act'2025



	(ii) aggregate of all payments made including amount incurred for expenditure, in cash, during the ¹[tax] year does not exceed 5% of the said payment, clause (a) shall have effect as if for the words “one crore rupees”, the words “ten crore rupees” had been substituted; (c) carrying on profession shall, if his gross receipts in profession exceed fifty lakh rupees in any ²[tax] year.
2.	If the person is carrying on business or profession, referred to in section 58(2) or 61(2) (Table: Sl. No. 4 and 5) and the profits and gains from such business or profession are claimed to be lower than the deemed profits as referred to in the said sections.

(2) The provisions of this section shall not apply where profits and gains of business or profession, declared by the assessee are as per [section 58\(2\)](#) or [61\(2\)](#).

(3) The assessee shall furnish by the specified date, the report of such audit in such form, duly signed and verified by the accountant and setting forth such particulars, as may be prescribed.

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Section 63 of the Income Tax Act'2025

(4) Where a person is required, by or under any other law, to get his accounts audited, then it shall be sufficient compliance of this section, if such person—

(a) gets the accounts of such business or profession audited under such law before the specified date; and

(b) furnishes by that specified date the report of such audit along with the report of the accountant in the form as may be prescribed.

(5) For the purposes of this section,—

(a) “specified date” in relation to the accounts of the assessee of the tax year, means the date one month prior to the due date for furnishing the return of income under [section 263\(1\)](#).

(b) the payment or receipt, as the case may be, by a cheque drawn on a bank or by a bank draft, which is not account payee, shall be deemed to be the payment or receipt, as the case may be, in cash.

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WALKTHROUGH OF TAX AUDIT REPORT

(FORM NO: 26)



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New Requirement in Form No 26: Audit report and Statement of particulars required to be furnished under section 63

Extract of Form No. 26

Note: Under Rule 46, where the books of account or other documents are maintained electronically, they shall mandatorily remain accessible in India at all times, and a daily backup shall be maintained in India-located servers.

Form No. 26 requires new reporting requirement such as the “**IP address**” and “**country of location of server**” on which such accounting information is maintained, as well as the “**address of the India-located backup**” server to be furnished by the auditor.

B - Particulars of books of account and method of accounting				
13.	List of books of account maintained (including those maintained in computer system)			
14.	(a) Address at which such books of account are maintained (if maintained at multiple locations, furnish particulars of all such locations)	Sl. No.	Address at which books of account are maintained	List of books of account maintained at such address
	(b) The accounting software used for maintenance of books of account in computer system			
	(c) Details of any cloud or any other software used for storage of books of accounts, along with location (internet protocol address and country) of such storage			
	(d) Whether provisions of rule 46(8) have been complied with?	Yes/No		
	(e) if yes, furnish address of location where backup server is located in India			
15.	(a) Method of accounting employed in the tax year			• Mercantile system • Cash system



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New Requirement in Form No 26: Audit report and Statement of particulars required to be furnished under section 63

Extract of Form No. 26

Note: Form No. 26 requires new reporting requirement to report the utilization of **Minimum Alternative tax** (in case of assessee being, company) and **Alternate minimum tax** (in case of assessee being other than company) credit available to such assessee given under Particular F - Particulars of Losses, Depreciation, and Deductions of the Form.

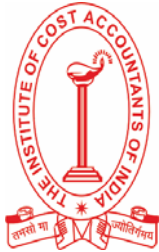
39.	Any utilisation of MAT/AMT credit available	Yes/No If yes, (Refer Schedule – Losses, Depreciation and Deductions)
-----	---	--

39. Particulars of utilization of MAT/AMT credit

Sl. No.	Tax year	Gross MAT/AMT credit*	Set-off in earlier years	Balance brought-forward	MAT/AMT credit utilized during the tax year	Balance MAT/AMT credit carried forward	Remarks
(A)	(B)	(C)	(D)	(E)	(F)	(G)	(H)

* Lower of credit as per Form 66 or 67 and assessed credit (if no appeal is pending)

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New Requirement in Form No 26: Audit report and Statement of particulars required to be furnished under section 63

Extract of Form No. 26

Note: Form No. 26 requires new reporting requirement to report the **remittance made outside India not subjected to TDS** which is to be reported in **Part D of Form No. 145** during the tax year which is given in Particular G- International Taxation of the Tax Audit Form.

43.	Any remittances reported in Part-D of Form 145 during the tax year	Yes/No If yes, (Refer Schedule – International Taxation)
-----	--	---

43. Particulars of remittances reported in Part-D of Form No. 145 during the tax year

Sl. No.	Nature of remittance	Total number of transactions for such remittances	Total amount of remittances	Amount not chargeable to tax out of amount mentioned in (D)	Amount chargeable to tax out of amount mentioned in (D)
(A)	(B)	(C)	(D)	(E)	(F)

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Section-64 of Income Tax Act, 2025

Special provision for computing deductions in case of business reorganisation of co-operative banks.



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Section 64 of the Income Tax Act'2025

Special provision governs computation of specified deductions when a business reorganisation of a co-operative bank occurs within a tax year. It requires time proportionate apportionment between predecessor and successor or converted banking company using day count formula as per subsection (2). Thereafter, staged or deferred deduction entitlements transfer to the successor or converted entity and continue to apply in subsequent tax years as if the reorganisation had not occurred.

The extract of subsection (2) is given below:

“(2) The amount of deduction allowable to the predecessor co-operative bank or to the successor co-operative bank or to the converted banking company under section 33 or 44 or 52(1)(Table: Sl. No. 1 or 2) shall be determined as per the formula—

(i) for predecessor co-operative bank:—

$$\frac{A \times B}{C}$$

(ii) for successor co-operative bank or converted banking company:—

$$\frac{A \times B}{C}$$

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Section 64 of the Income Tax Act'2025

where,—

A = the amount of deduction allowable to the predecessor co-operative bank, if the business reorganisation had not taken place;

B = the number of days comprised in the period beginning with the 1st day of the tax year and ending on the day immediately preceding the date of business reorganisation; and

C = the total number of days in the tax year in which the business reorganisation has taken place.

D = the number of days comprised in the period beginning with the date of business reorganisation and ending on the last day of the tax year.”



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Section-65 of Income Tax Act, 2025

Interpretation for purposes of section 64



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Section 65 of the Income Tax Act'2025

This provision provides the interpretation of certain terms used in section 64 of the ITA'25. These terms are

- “amalgamation”
- “amalgamating co-operative bank”
- “amalgamated co-operative bank”
- “business reorganisation”
- “conversion”
- “converted banking company”
- “demerger”
- “demerged co-operative bank”
- “predecessor co-operative bank”
- “primary co-operative bank”
- “resulting co-operative bank”
- “successor co-operative bank”

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Section 65 of the Income Tax Act'2025

As per subsection (a),

(a) **“amalgamation”** means the merger of an amalgamating co-operative bank with an amalgamated co-operative bank, if—

(i) all the assets and liabilities of the amalgamating co-operative bank or banks immediately before the merger (other than the assets transferred, by sale or distribution on winding up, to the amalgamated co-operative bank) become the assets and liabilities of the amalgamated co-operative bank;

(ii) the members holding 75% or more voting rights in the amalgamating co-operative bank become members of the amalgamated co-operative bank; and

(iii) the shareholders holding 75% or more in value of the shares in the amalgamating co-operative bank (other than the shares held by the amalgamated co-operative bank or its nominee or its subsidiary, immediately before the merger) become shareholders of the amalgamated co-operative bank;

As per subsection (d),

(d) **“business reorganisation”** means reorganisation of business involving the amalgamation or demerger of a co-operative bank or conversion of a primary co-operative bank;

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Section 65 of the Income Tax Act'2025

As per subsection (g),

(g) “demerger” means the transfer by a demerged co-operative bank of one or more of its undertakings to any resulting co-operative bank, in such manner that—

(i) all the assets and liabilities of the undertaking or undertakings immediately before the transfer become the assets and liabilities of the resulting co-operative bank;

(ii) the assets and the liabilities are transferred to the resulting co-operative bank at values (other than change in the value of assets consequent to their revaluation) appearing in its books of account immediately before the transfer;

(iii) the resulting co-operative bank issues, in consideration of the transfer, its membership to the members of the demerged co-operative bank on a proportionate basis;

(iv) the shareholders holding 75% or more in value of the shares in the demerged co-operative bank (other than shares already held by the resulting bank or its nominee or its subsidiary immediately before the transfer), become shareholders of the resulting co-operative bank, otherwise than as a result of the

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Section 65 of the Income Tax Act'2025

acquisition of the assets of the demerged co-operative bank or any undertaking thereof by the resulting co-operative bank;

(v) the transfer of the undertaking is on a going concern basis; and

(vi) the transfer is as per the conditions specified by the Central Government, by notification, having regard to the necessity to ensure that the transfer is for genuine business purposes;



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Section-66 of Income Tax Act, 2025

Interpretation.



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Section 66 of the Income Tax Act'2025

This section defines expressions used for the purposes of Part D of Chapter on profits and gains of business or profession of the ITA'25, including broad treatment of agreement and service for specified income-tax purposes, and incorporates meanings from other enactments for banking company, fees for technical services, professional services, royalty, public company, public financial institution, limited liability partnership, University, Keyman insurance policy, commodities and securities transaction taxes, and commodity derivatives. Also provides specific sectoral and functional definitions for housing finance company, micro enterprise, small enterprise, primary agricultural credit society, primary co-operative agricultural and rural development bank, State Government undertaking, State Industrial Investment Corporation, and State Financial Corporation, together with meanings for mineral oil, permanent establishment, rural branch, plant, long-term finance, predecessor entity, successor entity, and non-scheduled bank.

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Section 66 of the Income Tax Act'2025

As per subsection (5), “**fees for technical services**” shall have the meaning assigned to it in section 9(7)(b). Further as per section 9(7)(b),

(b) in this sub-section, “fees for technical services” means any consideration (including any lump sum consideration) for the rendering of any managerial, technical or consultancy services (including the provision of services of technical or other personnel) but does not include consideration—

(i) for any construction, assembly, mining or like project undertaken by the recipient; or

(ii) which would be income of the recipient chargeable under the head “Salaries”.

As per subsection (13),

(13) “moneys payable” in respect of any tangible asset [as referred to in section 33(12)(a)(i)] includes—

(a) any insurance, salvage or compensation moneys payable in respect thereof;

(b) where the asset is sold, the price for which it is sold;

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Section 66 of the Income Tax Act'2025

As per subsection (16) “**permanent establishment**” shall have the meaning assigned to it in section 173(c);
Further as per section 173(c),

(c) “permanent establishment”, referred to in clause (b), includes a fixed place of business through which the business of the enterprise is wholly or partly carried on;

As per subsection (25), “royalty” shall have the same meaning as assigned to it in section 9(6)(b).
Further as per section 9(6)(b)

(b) in this sub-section, “royalty” means consideration (including any lump sum consideration but excluding any consideration which would be the income of the recipient chargeable under the head “Capital gains”) for the following—

(i) the transfer or grant of all or any rights (including the granting of a licence) in respect of a patent, invention, model, design, secret formula or process or trade mark or similar property;

(ii) the imparting of any information concerning the working of, or the use of, a patent, invention, model, design, secret formula or process or trade mark or similar property;

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Section 66 of the Income Tax Act'2025

(iii) the use of any patent, invention, model, design, secret formula or process or trade mark or similar property;

(iv) the imparting of any information concerning technical, industrial, commercial or scientific knowledge, experience or skill;

(v) the use or right to use any industrial, commercial or scientific equipment except the amounts referred in section 61(2) (Table: Sl. No. 5);

(vi) the transfer or grant of all or any rights (including the granting of a licence) in respect of any copyright, literary, artistic or scientific work including—

(A) films or video tapes for use in connection with television; or

(B) tapes for use in connection with radio broadcasting;

(vii) the rendering of services in connection with the activities referred to in sub-clauses (i) to (vi)

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Section 66 of the Income Tax Act'2025

(29) “service”, for the purposes of section 26(2)(h), means a service of any description which is made available to potential users and includes the provision of services in connection with business of any industrial or commercial nature such as—

- (a) accounting;*
- (b) banking;*
- (c) communication;*
- (d) conveying of news or information;*
- (e) advertising;*
- (f) entertainment;*
- (g) amusement;*
- (h) education;*
- (i) financing;*
- (j) insurance;*
- (k) chit funds;*
- (l) real estate;*

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Section 66 of the Income Tax Act'2025

- (m) construction;*
- (n) transport;*
- (o) storage;*
- (p) processing;*
- (q) supply of electrical or other energy; and*
- (r) boarding and lodging;*



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WALKTHROUGH OF INCOME TAX RETURN

(AY 2026-27)



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Change in Reporting Requirement in ITR – 4

Extract of ITR -4 (AY 2026-27)

B3 Details of Income from House Property (Drop down to be provided indicating ownership of property)														
Address of property 1					Town/ City			State		Country		Pin Code/ ZIP Code		
Is the property co-owned? ☐ Yes ☐ No (if "YES" please enter following details)														
Your percentage of share in the property (%)														
Name of Co-owner(s)					PAN/Aadhaar No. of Co-owner (s)					Percentage Share in Property				
I														
II														
/Tick the applicable option ☐ Let-out ☐ Self-occupied ☐ Deemed let out					Name(s) of Tenant(s) (if let-out)		PAN/Aadhaar No. of Tenant(s) (Please see note)					PAN/TAN/Aadhaar No. of Tenant(s) (if TDS credit is claimed)		
I														
II														
a Gross rent received/ receivable/ lettable value during the year														
1a														
b The amount of rent which cannot be realized														
1b														
c Tax paid to local authorities														
1c														
d Total (1b + 1c)														
1d														
e Annual Value (1a – 1d) (nil, if self-occupied etc. as per section 23(2) of the Act)														
1e														
f Annual value of the property owned (own percentage share x 1e)														
1f														
g 30% of Annual Value														
1g														
h Interest payable on borrowed capital (Details are to be filled in the drop down to be provided in e-filing utility)														
1h														
i Total (1g+ 1h)														
1i														
j Arrears/Unrealised rent received during the year less 30%														
1j														
k Income from house property 1 (1f – 1i + 1j)														
1k														
Income chargeable under the head 'House Property' (Σ1k)														
B3														
Note:- Maximum loss from house property that can be set-off is INR 2,00,000. To avail the benefit of carry forward and set of loss, please use ITR -3/5. (fill up details separately for each property for up to 2 properties)														
NOTE ▶ Furnishing of PAN/ Aadhaar No. of tenant is mandatory, if tax is deducted under section 194-I.														
▶ Furnishing of TAN of tenant is mandatory, if tax is deducted under section 194-I.														

Note: Under the New Income Tax Return (ITR-4), Rule 164 of IT Rules, 2026 provides that a person is not eligible to file ITR-4 if they own more than two house properties. The revised ITR-4 form now permits filing even where the assessee owns up to two house properties, thereby relaxing the earlier restriction.

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Mandatory Reporting Requirement in ITR – 4

Extract of ITR – 4 (AY 2026-27)

FINANCIAL PARTICULARS OF THE BUSINESS			
Note—For E11 to E25 furnish the information as on 31 st day of March, 2026			
E11	Partners/ Members own capital	E11	
E12	Secured loans	E12	
E13	Unsecured loans	E13	
E14	Advances	E14	
E15	Sundry creditors	E15	
E16	Other liabilities	E16	
E17	Total capital and liabilities (E11+E12+E13+E14+E15+E16)	E17	
E18	Fixed assets	E18	
E18a	Investments	E18a	
E19	Inventories	E19	
E20	Sundry debtors	E20	
E21	Balance with banks	E21	
E22	Cash-in-hand	E22	
E23	Loans and advances	E23	
E24	Other assets	E24	
E25	Total assets (E18+E18a+E19+E20+E21+E22+E23+E24)	E25	
NOTE ▶ Please refer to instructions for filling out this schedule (E15, E19, E20, E21, E22 are mandatory and others if available)			

Note: In the new ITR-4, reporting of bank balances (E21) as on 31.03.2026 has been made mandatory for filing the return for AY 2026–27.

Behind every successful business decision, there is always a **CMA**



Thank You



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